

Commodities Forum London

Turning uncertainty into market insight

LSEG



Agenda

3:55 - 4:00 PM	Opening remarks – Stuart Wood
4:00 - 4:20 PM	Energy Markets Outlook – John Kemp
4:20 - 5:00 PM	Panel 1: The impact of the middle east crisis on energy transition commodities, in Europe and internationally
5:00 - 5:15 PM	Coffee break
5:15 - 5:55 PM	Panel 2: Metals markets – outlook and market dynamics
5:55 - 6:35 PM	Panel 3: Navigating uncertainty across oil, gas, and shipping markets
6:35 - 6:55 PM	Oil markets session – Neil Atkinson
6:55 - 7:00 PM	Closing remarks – Alessandro Sanos
7:00 - 8:45 PM	Networking reception and demos

Strait of Hormuz closure and the oil shock of 2026

John Kemp

LSEG



Strait of Hormuz closure and the oil shock of 2026

LSEG Commodities Forum

JOHN KEMP

Base Research

21 May 2026

Strait of Hormuz effectively closed to most tanker traffic since start of March

Largest oil supply disruption in history according to the IEA

Pre-conflict petroleum exports via the Strait totalled about 21 million barrels per day

Crude and condensates 15 million b/d

Refined petroleum products 6 million b/d

Saudi Arabia and United Arab Emirates have some capacity to bypass the Strait

Saudi Arabia's East-West pipeline to the Red Sea

UAE Habshan-Fujairah pipeline to Gulf of Oman

But Iraq, Kuwait, Qatar, Bahrain and Iran tanker exports depend entirely on Strait
(Iraq has been able to export small volumes via northern pipeline through Türkiye)

Most tankers unable or unwilling to transit safely (threat of attack, insurance costs)

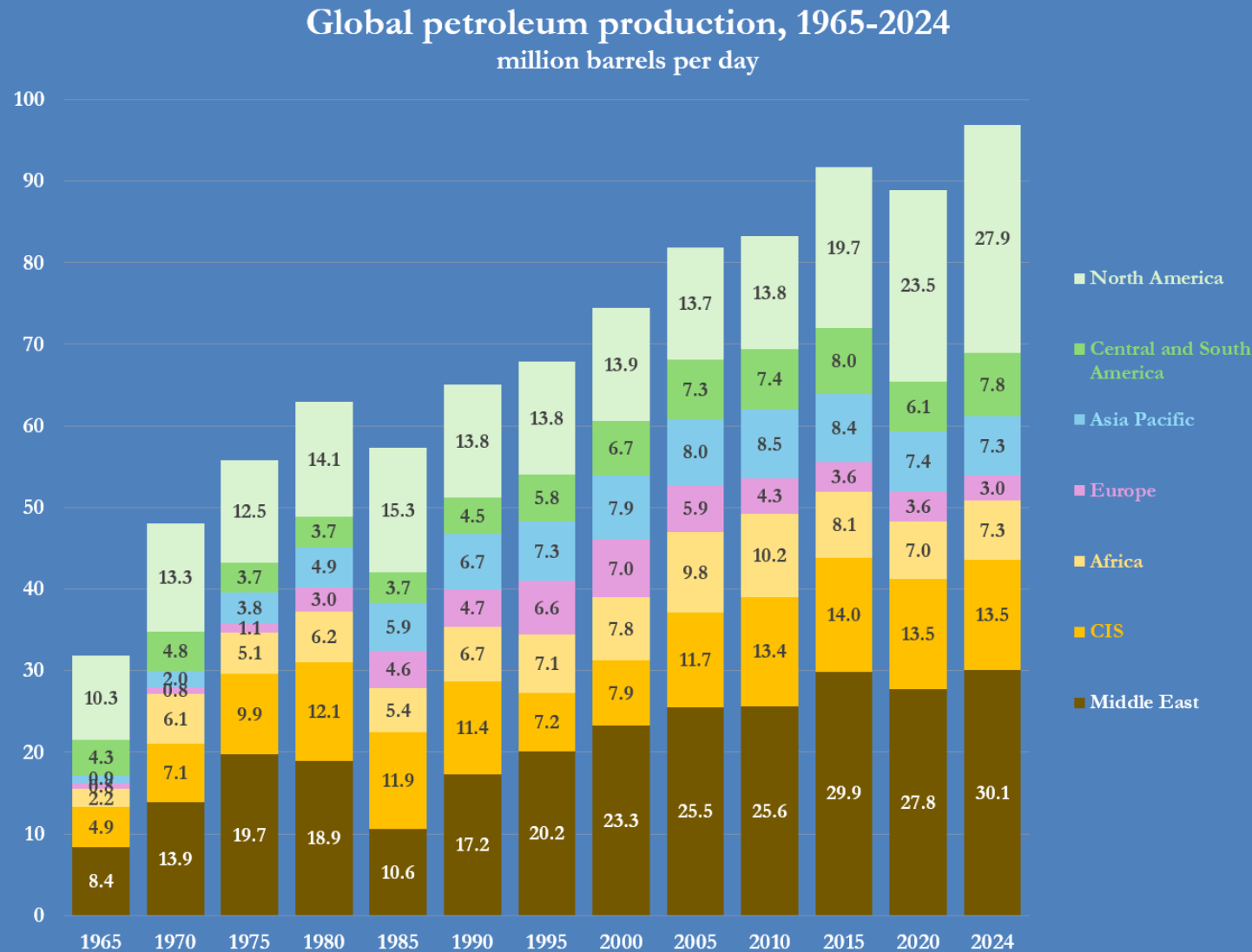
Tank farms and other storage inside in the Gulf have been filled up to capacity

Producers forced to shut oil wells. Refineries forced to cut runs

Production lost equivalent to more than 10 million barrels per day for 80 days so far

Middle East accounted for >30% of global petroleum production in 2024

Output clustered around Persian Gulf and most exported by tanker via Strait of Hormuz

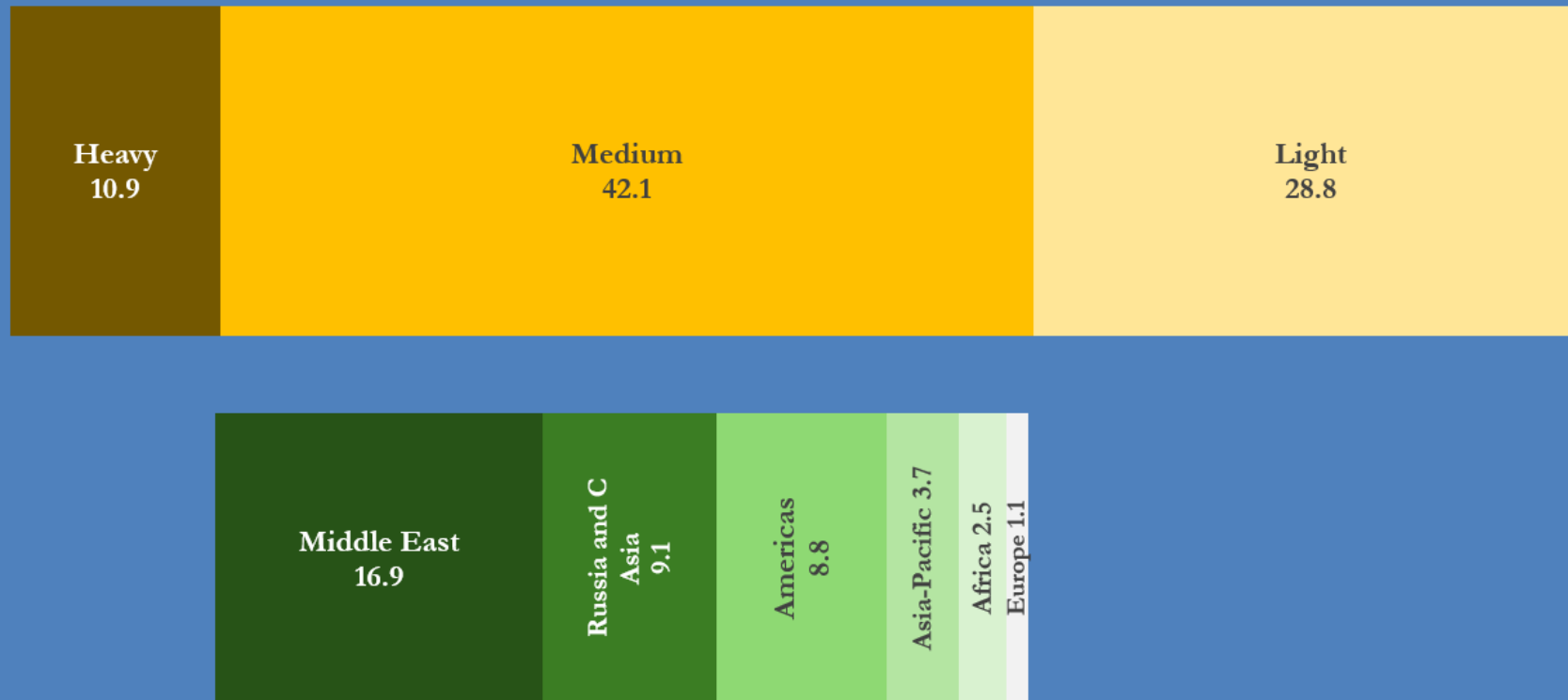


Source: Statistical Review of World Energy (Energy Institute, 2025)

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Middle East accounted for 40% of medium density crude oil output
Prized by refiners for a high-yield of middle distillates including diesel and jet fuel

Global crude oil production, 2024
million barrels per day

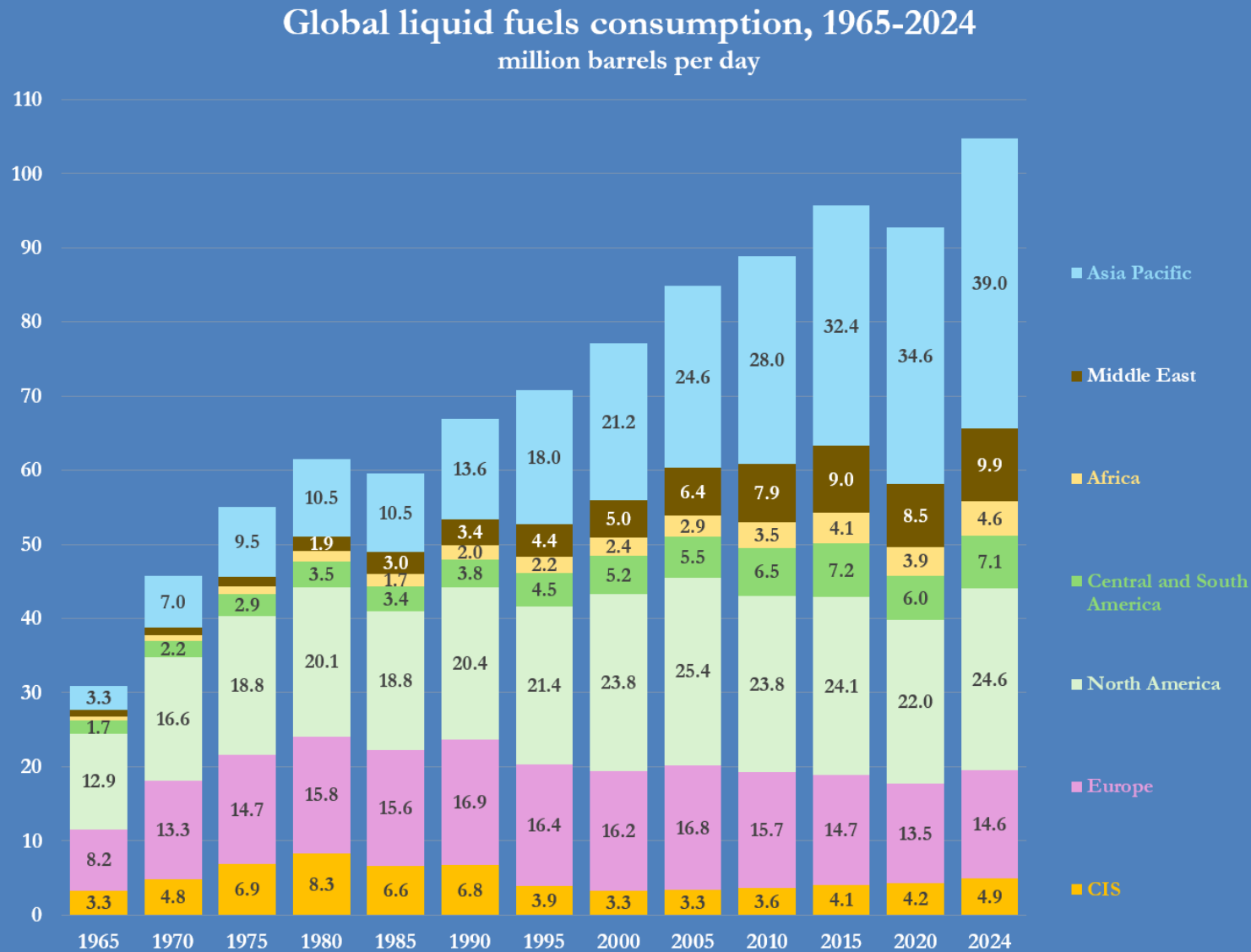


Source: World Energy Review (ENI, 2025)

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Asia has felt the most severe and immediate impact from the war

Region has fastest oil demand growth and relies most heavily on supplies from the Gulf

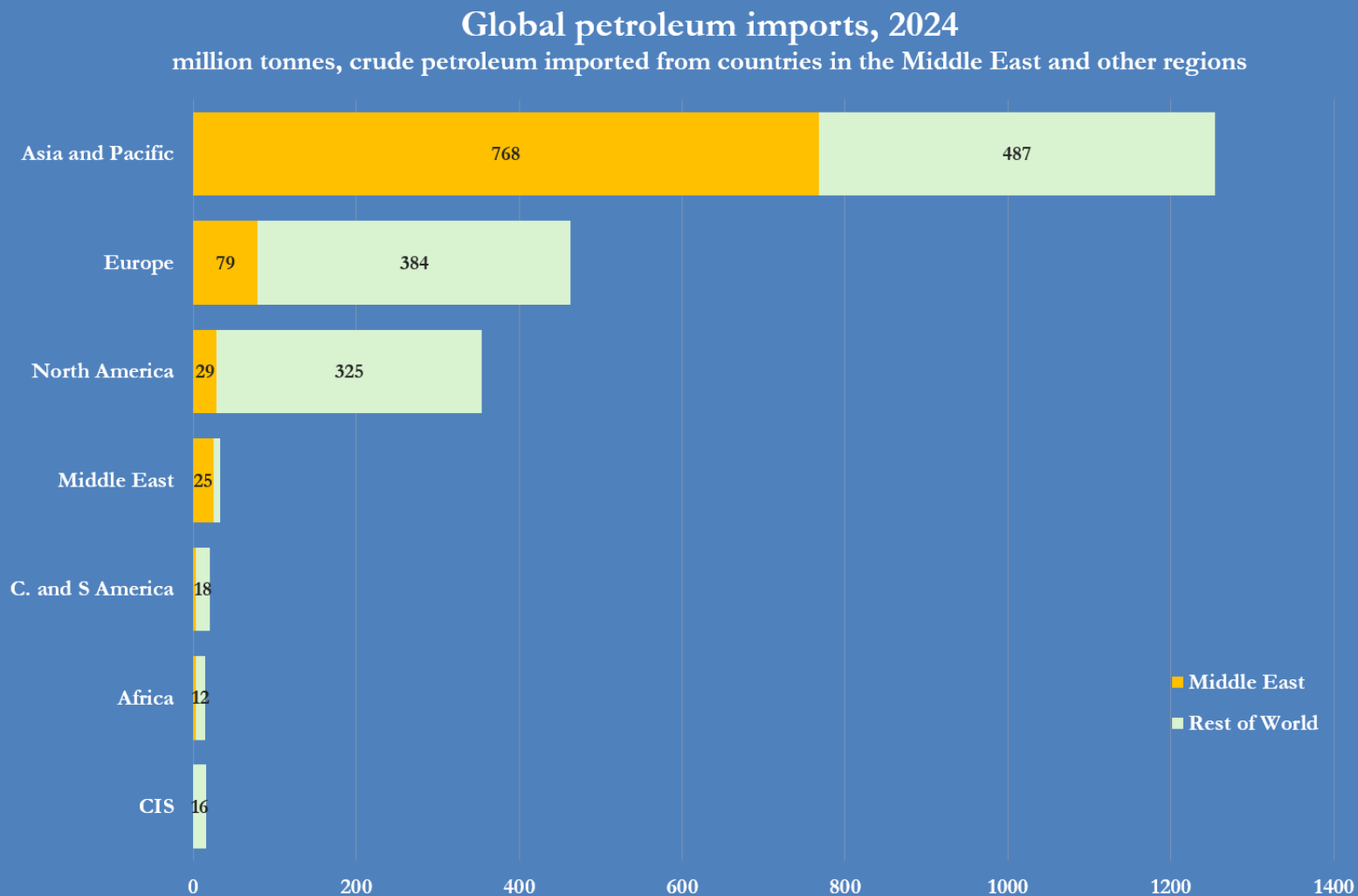


Source: Statistical Review of World Energy (Energy Institute, 2025)

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Middle East to Asia is the world's most important flow of crude oil

Geographic proximity and mutual dependency

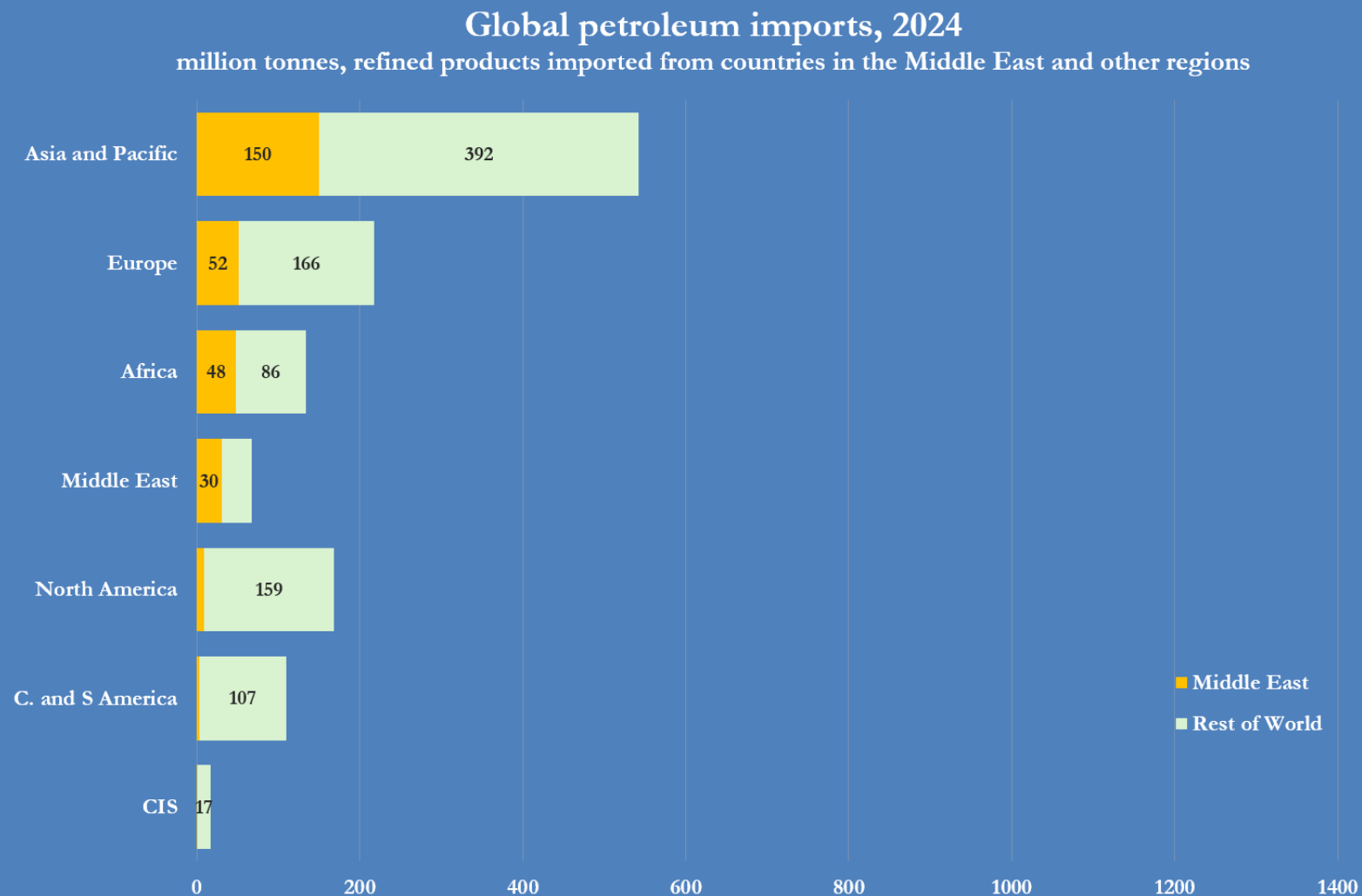


Source: Statistical Review of World Energy (U.K. Energy Institute, 2025)

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Middle East to Asia is also a critical route for refined products

Short voyaging times and refinery configuration



Source: Statistical Review of World Energy (U.K. Energy Institute, 2025)

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Closure of the Strait of Hormuz: is it an oil shock?

Price level – No. Rate of change and volatility – Yes. Impact on costs – Maybe

Oil prices have at least five attributes or characteristics which impact on the behaviour of producers, consumers, refiners and other intermediaries:

Level – whether current prices are low or high compared with some historical benchmark (adjusted for inflation).

Direction – whether prices are rising or falling.

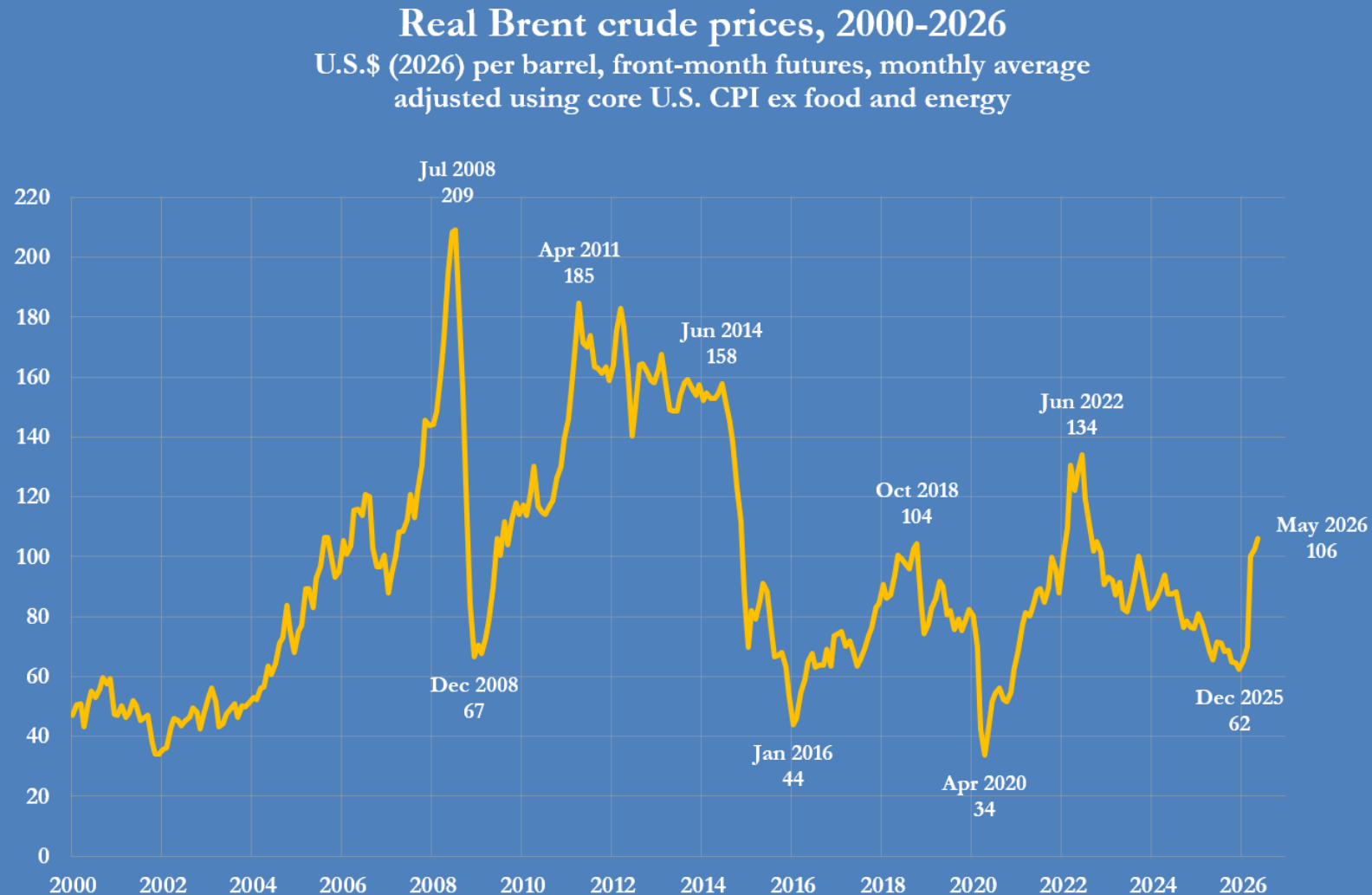
Rate of change – how slow or fast prices are changing.

Rate of change of the rate of change – whether the change itself is decelerating or accelerating.

Volatility – how variable prices or price changes are from minute-to-minute, hour-to-hour, day-to-day or over some longer period

Crude oil prices remain well below historic highs after adjusting for inflation

Far below peaks reached after Russia's invasion of Ukraine and before the financial crisis

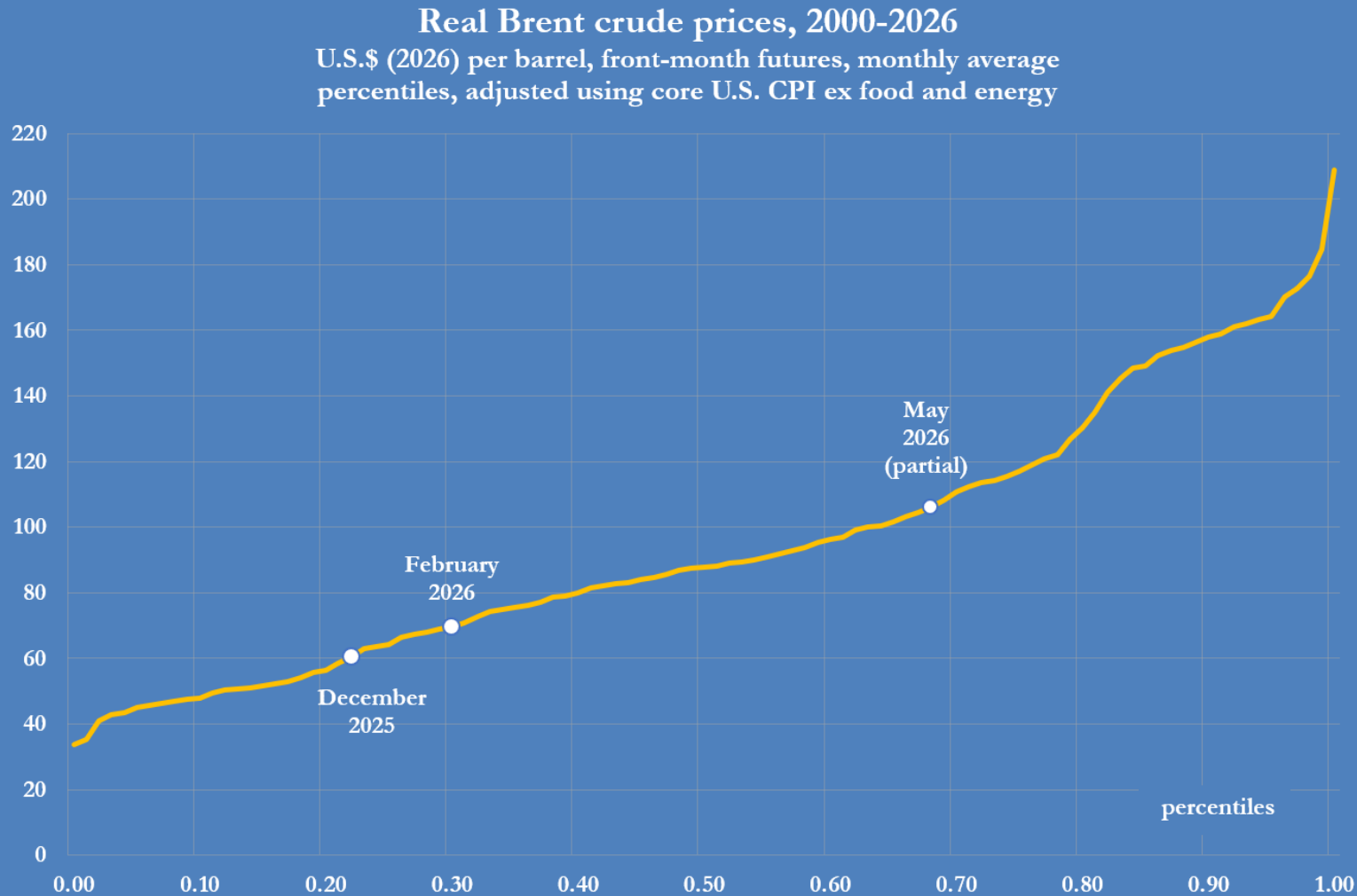


Sources: ICE Futures Europe and U.S. Bureau of Labor Statistics

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Crude prices have risen moderately since the war began

Front-month Brent futures in 68th percentile in May up from 30th percentile in February

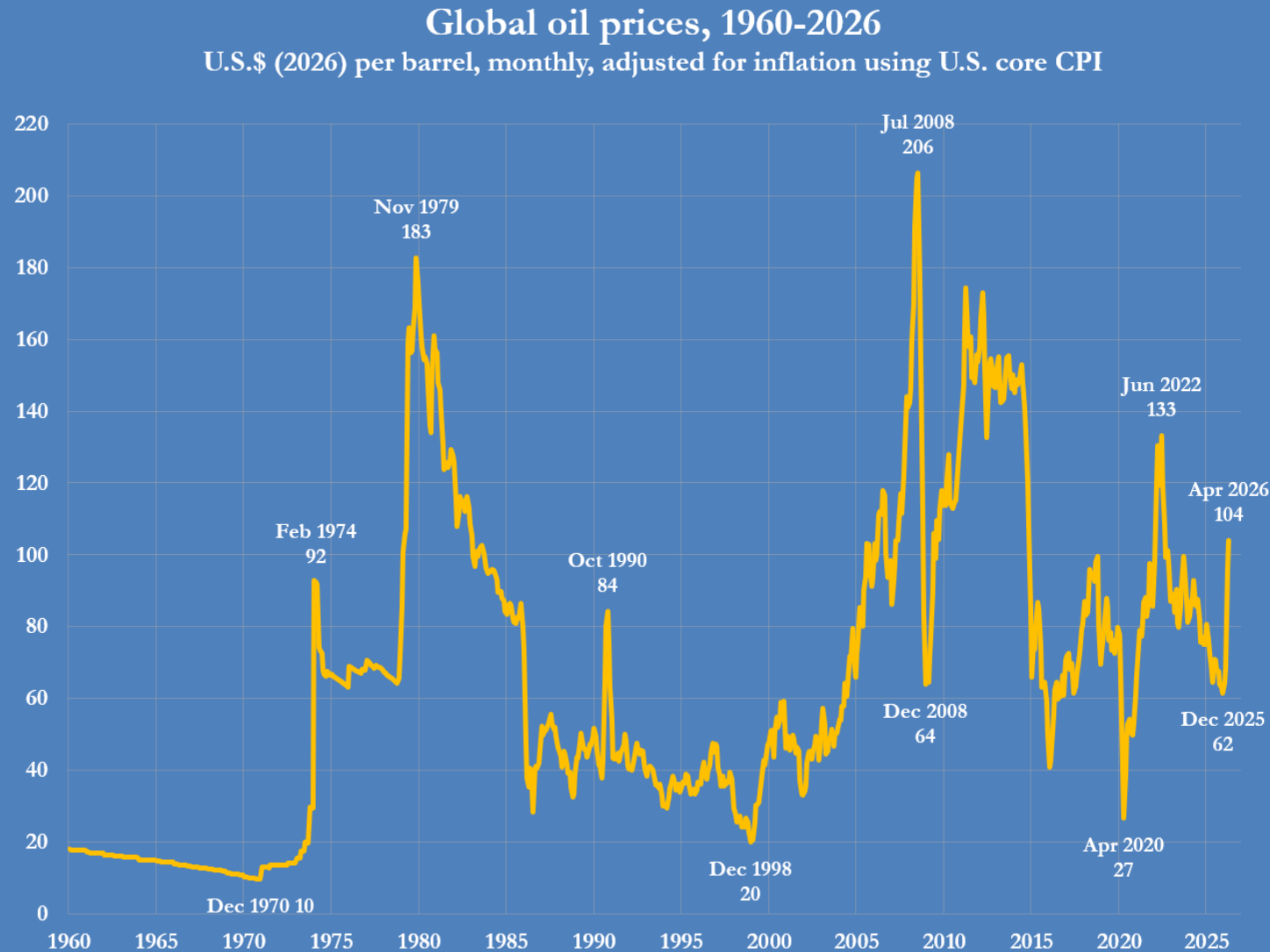


Sources: ICE Futures Europe and U.S. Bureau of Labor Statistics

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Inflation-adjusted oil prices remain well below past shock levels

Price-level alone may not qualify as an oil shock

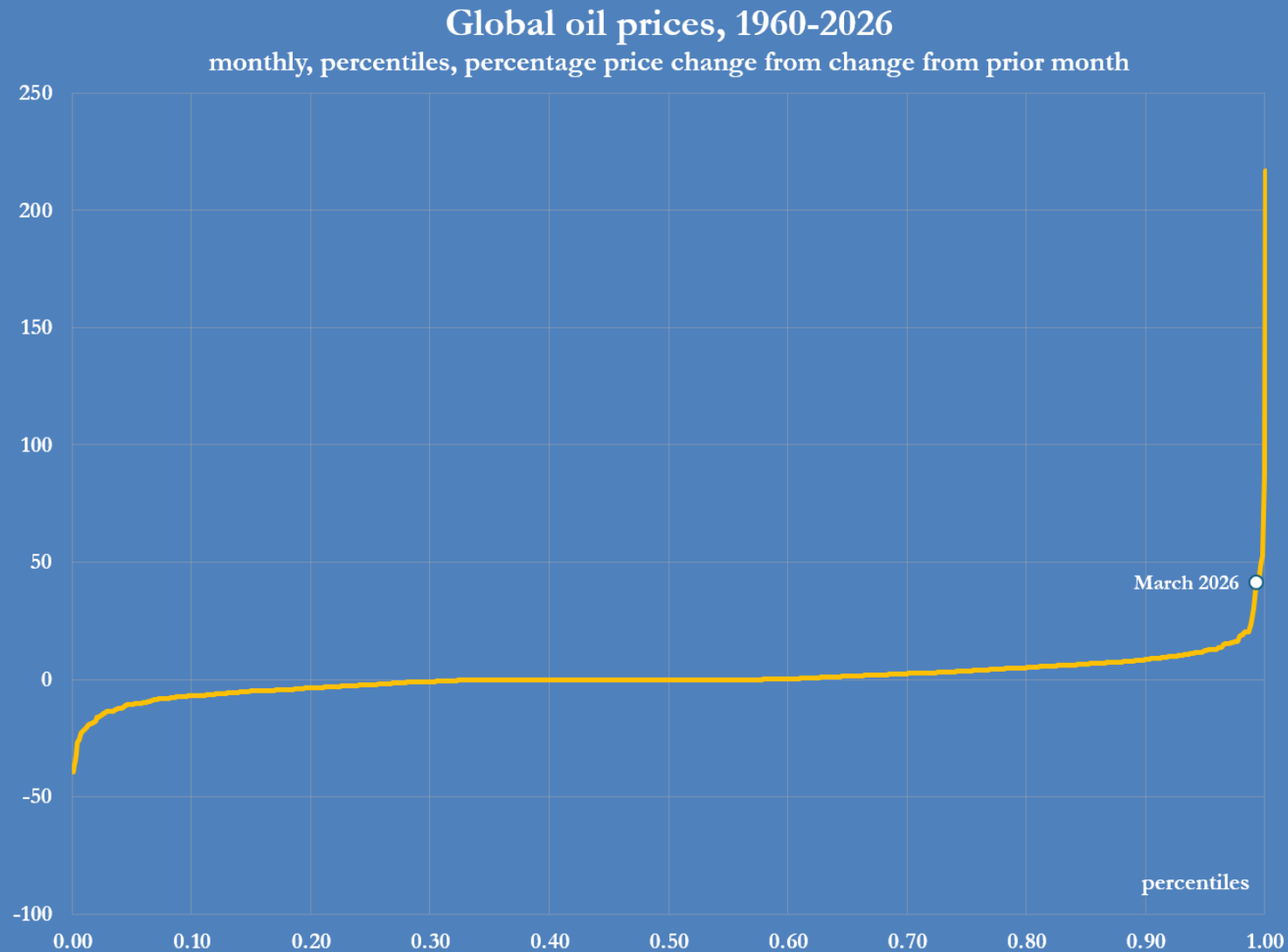


Sources: World Bank Commodity Price Data (Pink Sheet) and U.S. Bureau of Labor Statistics

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Rate of price increases has nonetheless been “shocking”

One-month price rise from February to March (40%) was in 99th percentile since 1960

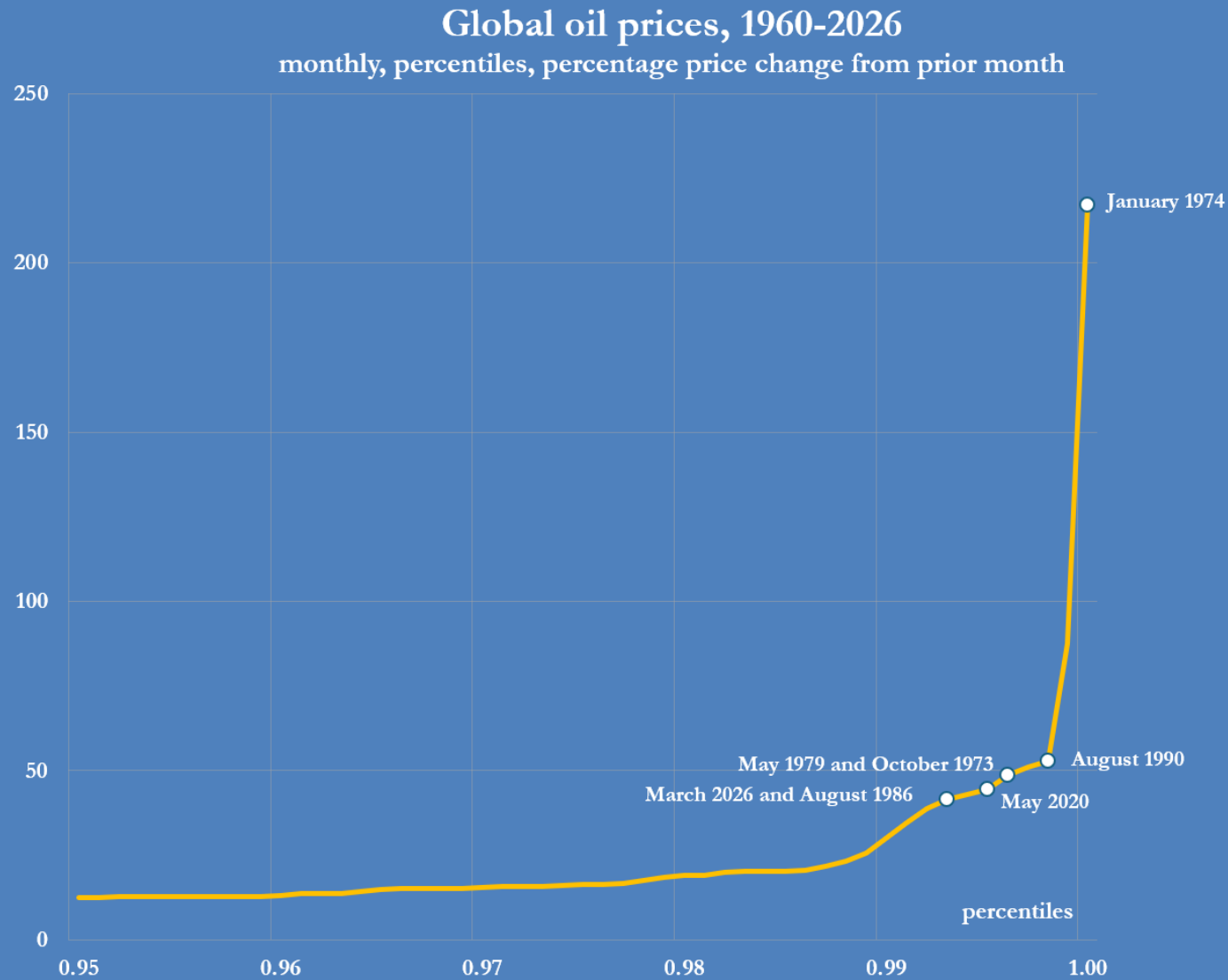


Source: World Bank Commodity Price Data (Pink Sheet)

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Rate of change qualifies as an oil shock

Comparable to first Gulf War, Iran revolution, and post-pandemic rebound



Source: World Bank Commodity Price Data (Pink Sheet)

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Daily price volatility has surged since the war started

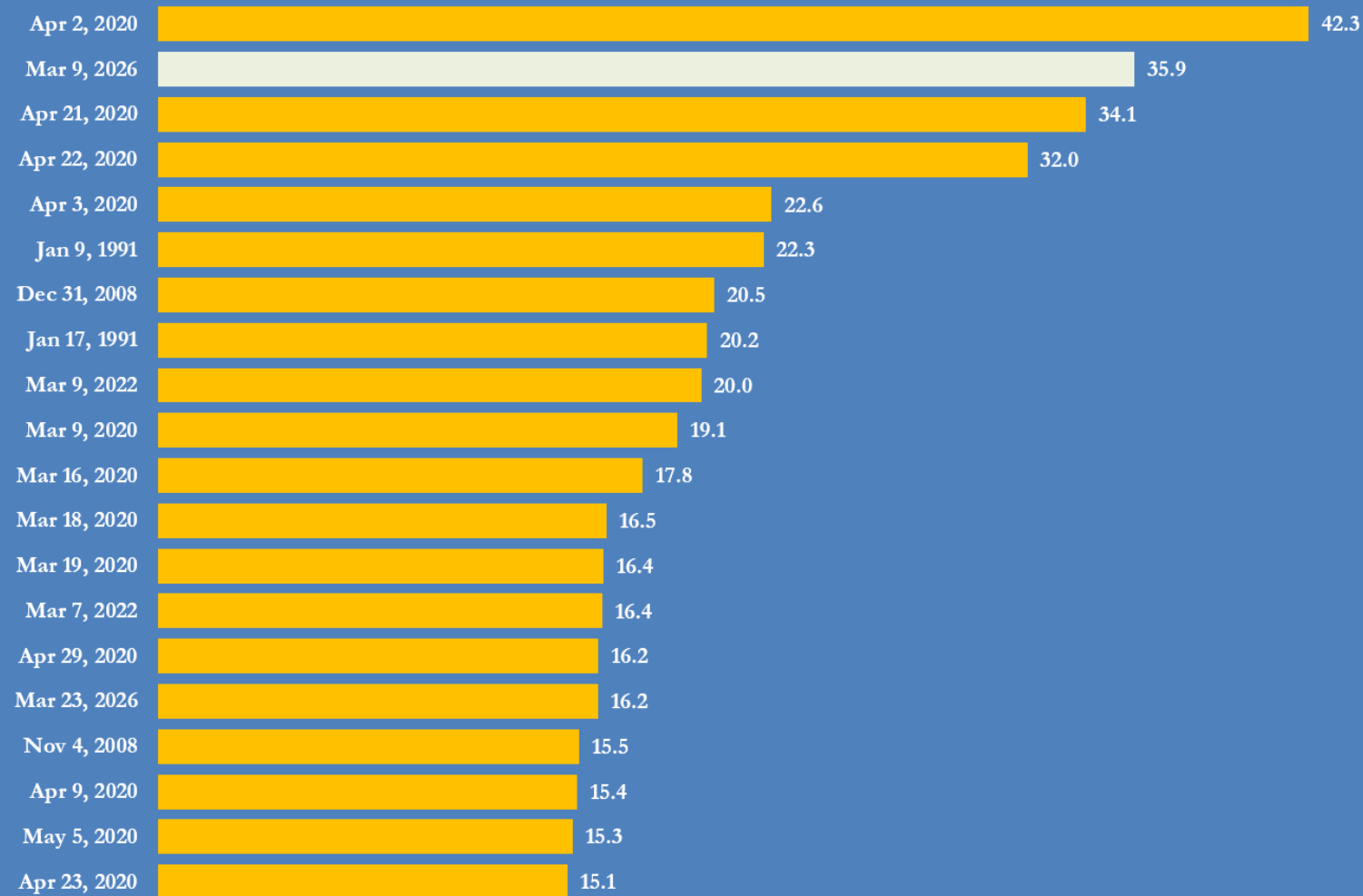
Prices have become highly sensitive to announcements about the progress of the conflict



Information warfare: belligerents managing oil prices by shaping perceptions

Weaponising oil prices and the economic impact as a source of leverage

Brent crude futures largest daily trading ranges, 1988-2026
percent of opening price, front-month, 20 dates with the largest trading range

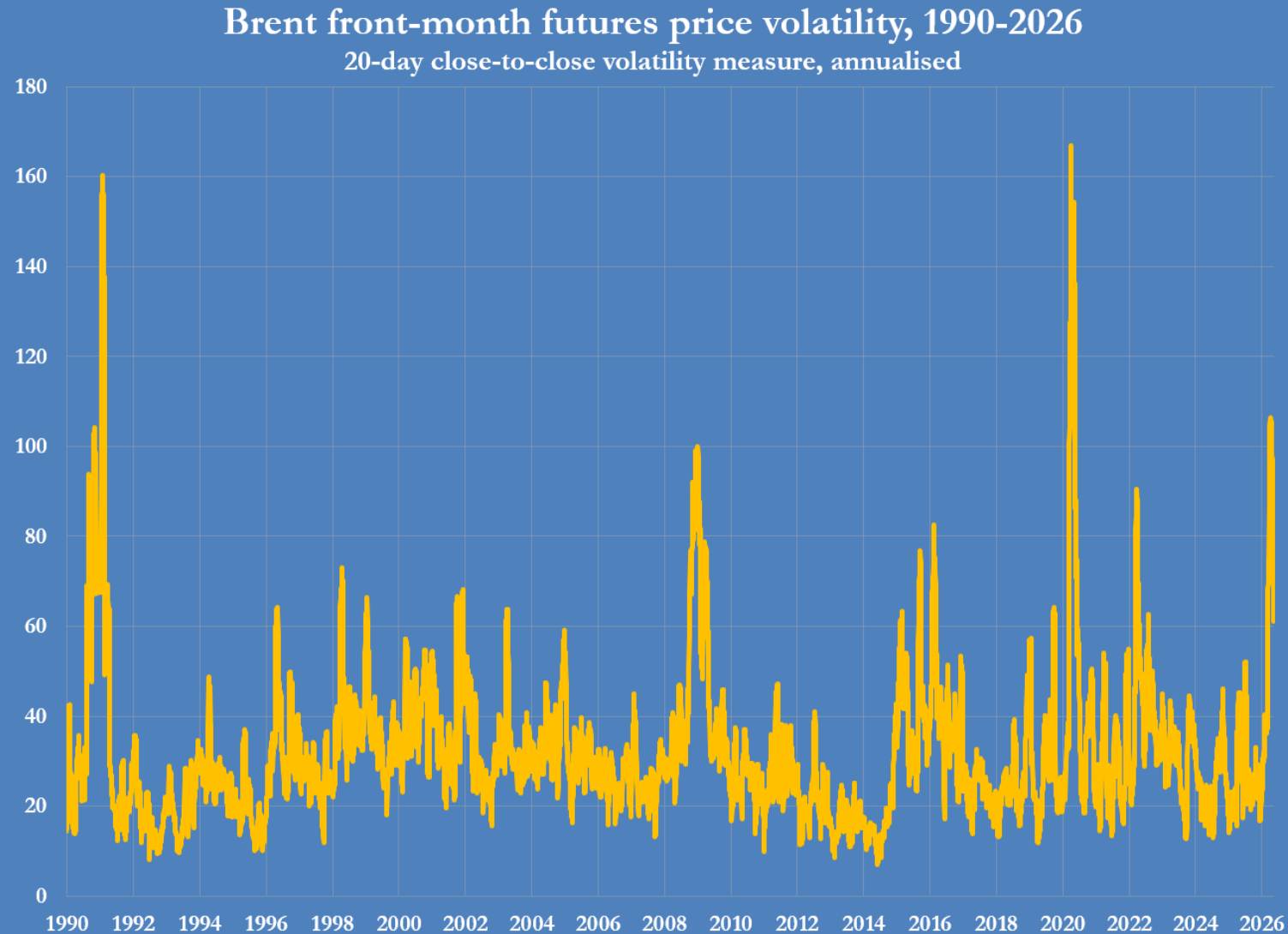


Source: ICE Futures Europe

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Close-to-close oil price volatility has been near to record highs

Highest since the pandemic and before that the first Gulf War

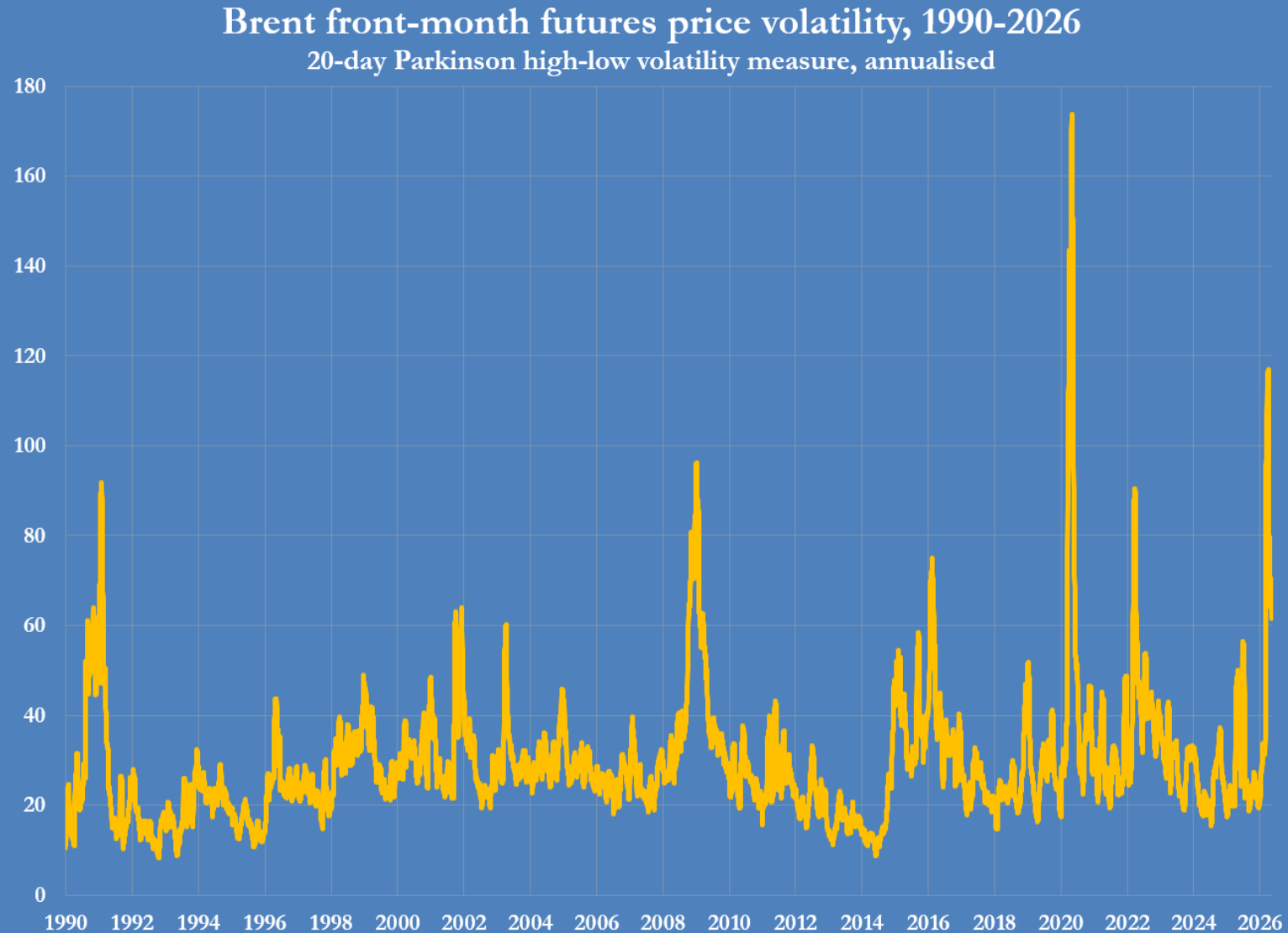


Source: ICE Futures Europe

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Intra-day volatility has been even higher

Exceeded only by the rebound from the first wave of the pandemic



Source: ICE Futures Europe

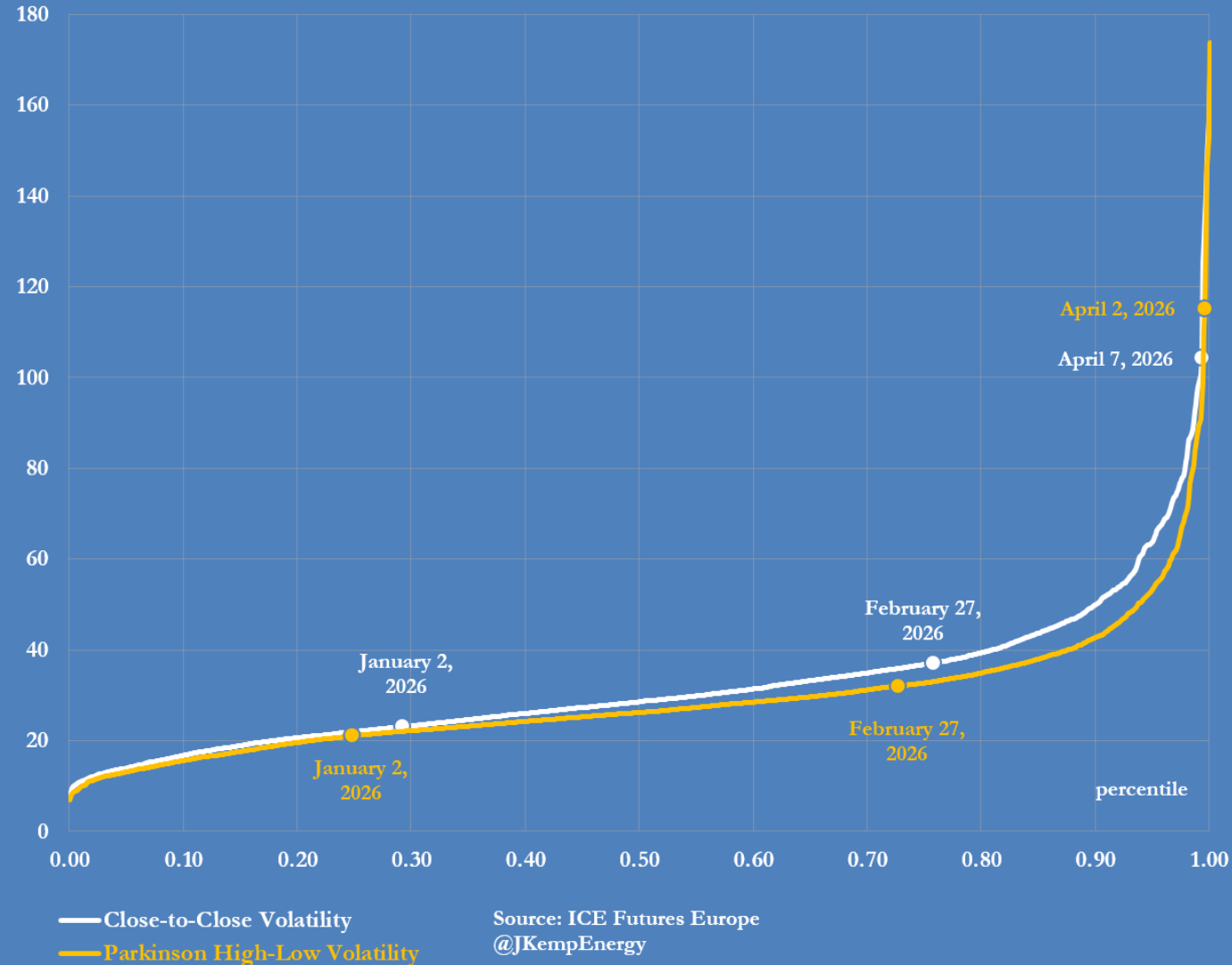
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Volatility regime has changed from “mild” to “wild”

Volatility has surged from well below average pre-war to near record highs

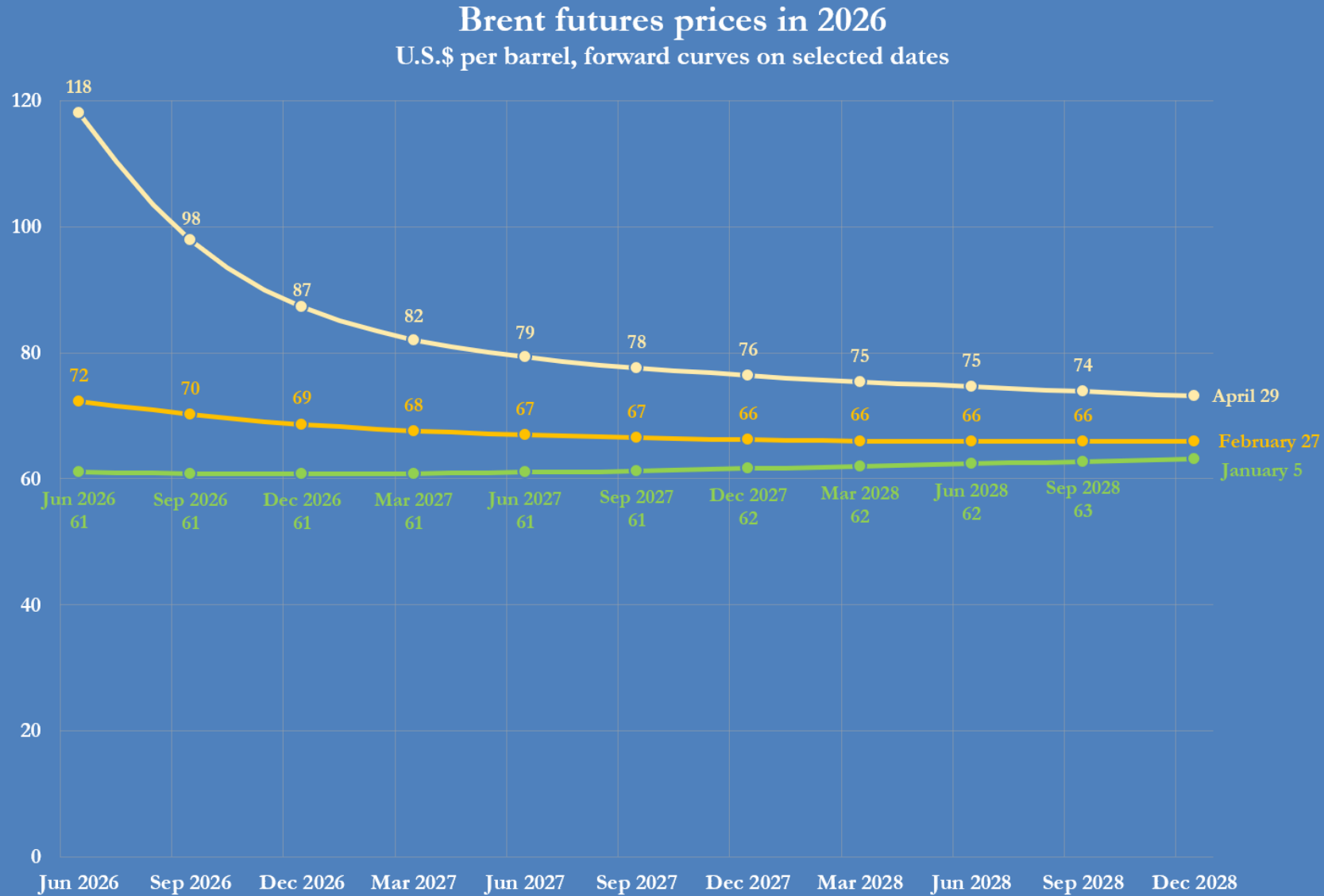
Brent front-month futures price volatility, 1988-2026

20-day volatility, annualised, percentiles since 1988



Crude price increases concentrated on nearest delivery months

Traders still expect a relatively short conflict and brief interruption of oil supplies



Source: ICE Futures Europe

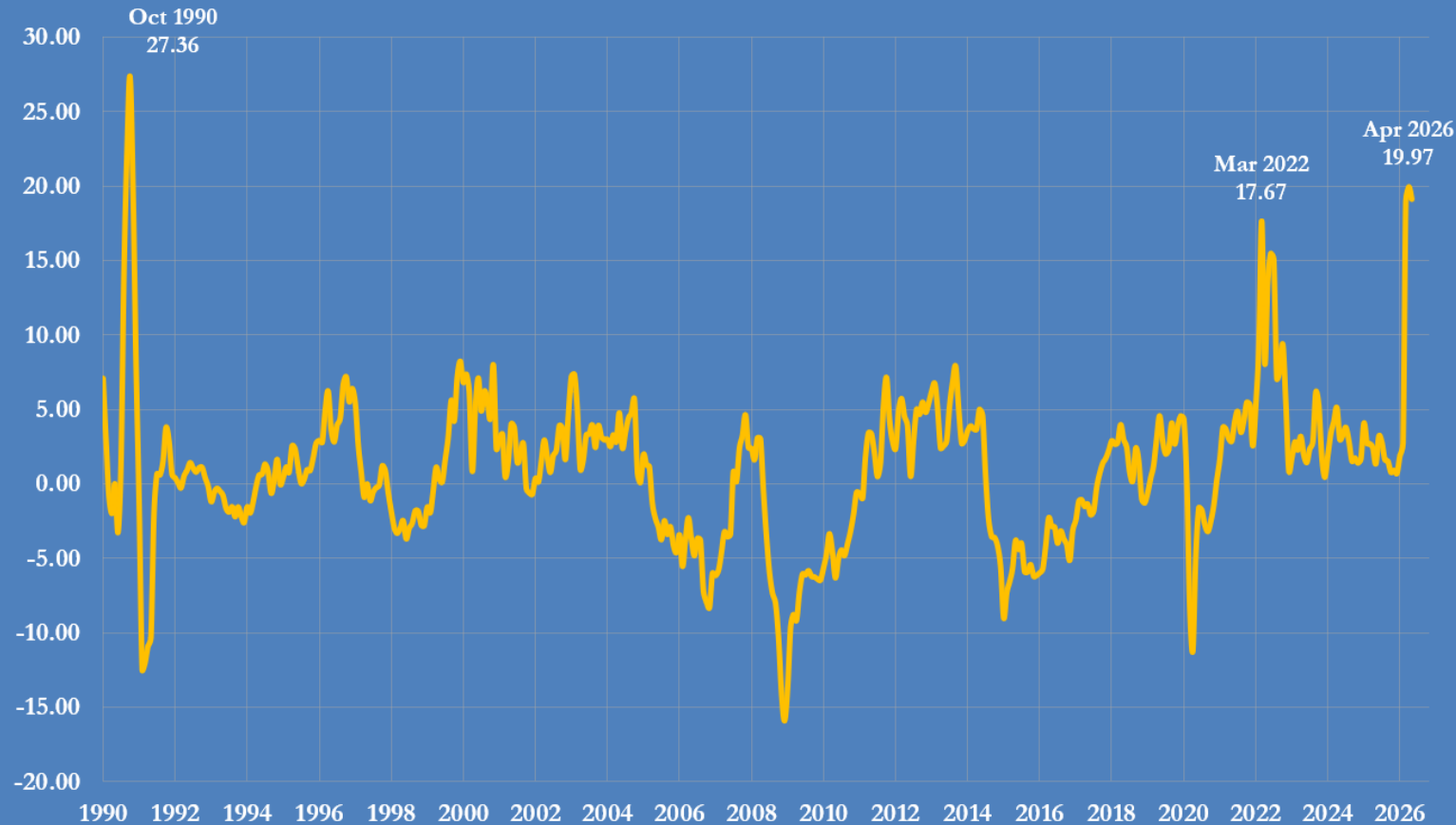
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Futures curve has shifted into near-record backwardation

Severe but relatively brief shortfall in supplies producing rapid depletion of inventories

Real Brent crude futures six-month calendar spread, 1990-2026

U.S.\$ (2026) per barrel, backwardation (+) and contango (-), monthly average

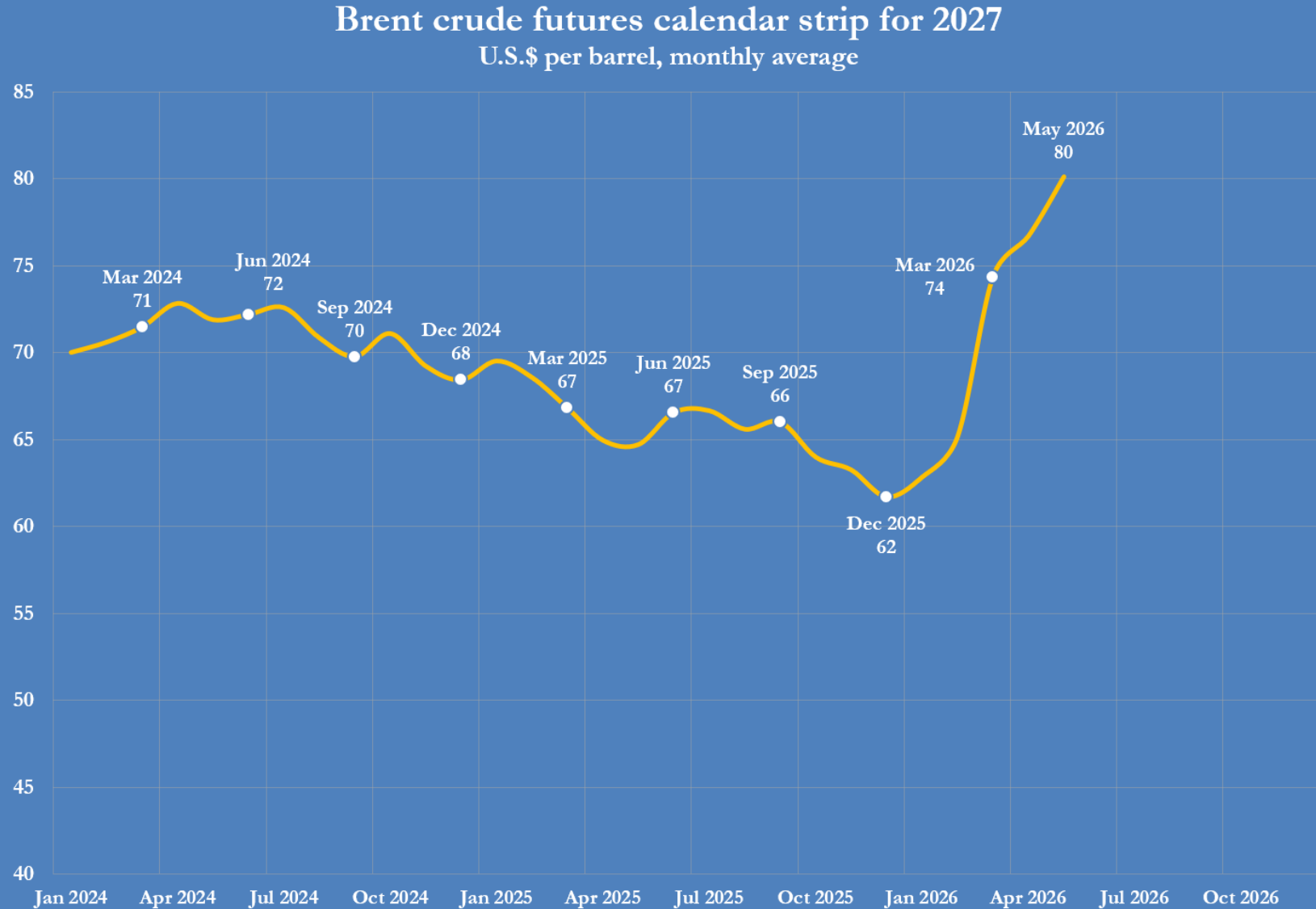


Source: ICE Futures Europe

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Traders expect moderate but lingering impact on oil availability and prices

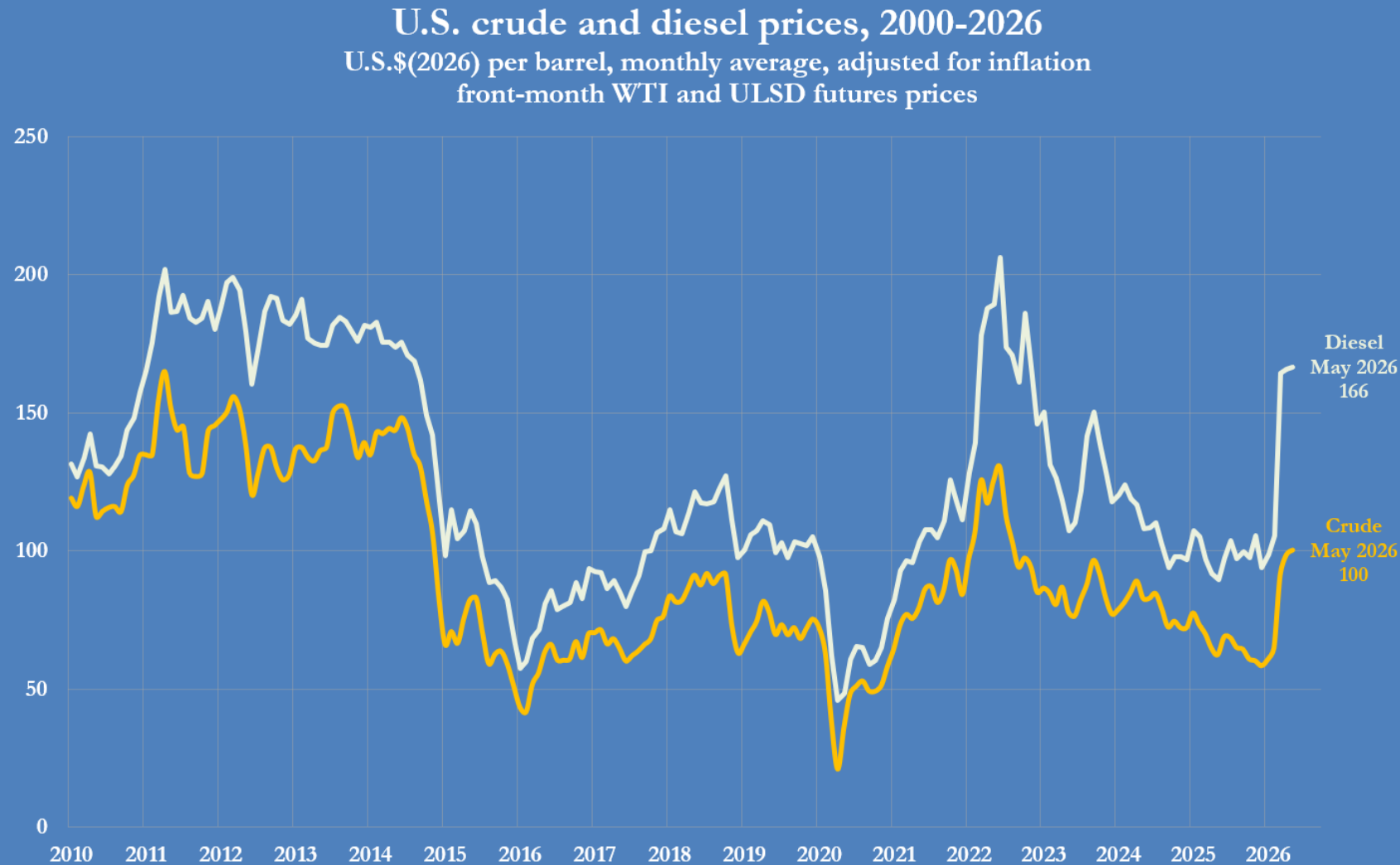
Futures strip for calendar 2027 trading around \$80 up from just over \$60 before the war



Source: ICE Futures Europe

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Price increases have been concentrated in middle distillates (including jet)
Diesel prices have risen almost as fast as jet and much faster than crude



Source: CME Group

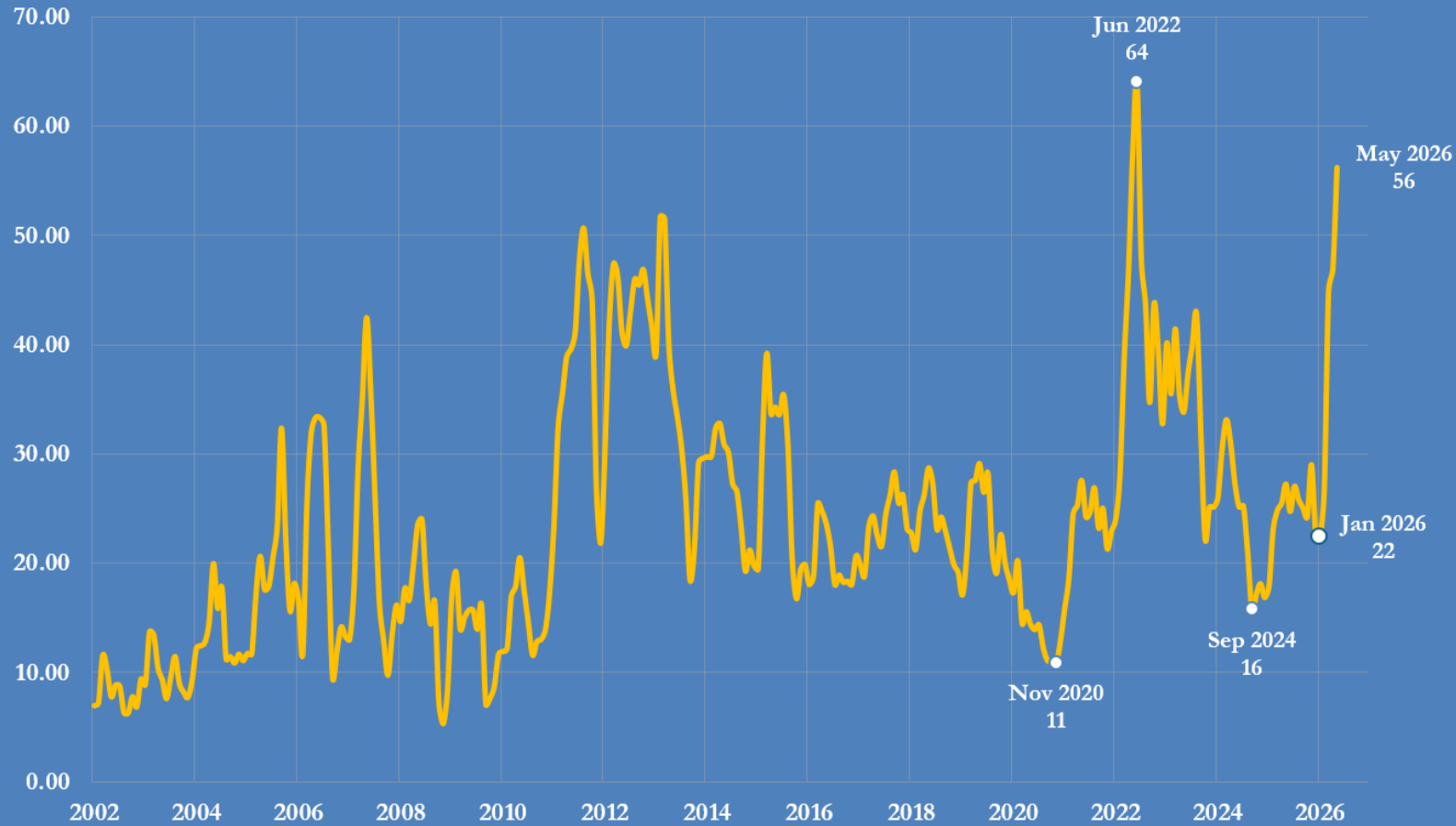
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Refining margins near record levels

Exceeded only by the exceptional margins following Russia's invasion of Ukraine

Real U.S. gross refining margin, 2002-2026

U.S.\$ (2026) per bbl, 3-2-1 crack spread
monthly average, adjusted for inflation using core CPI



Source: CME Group

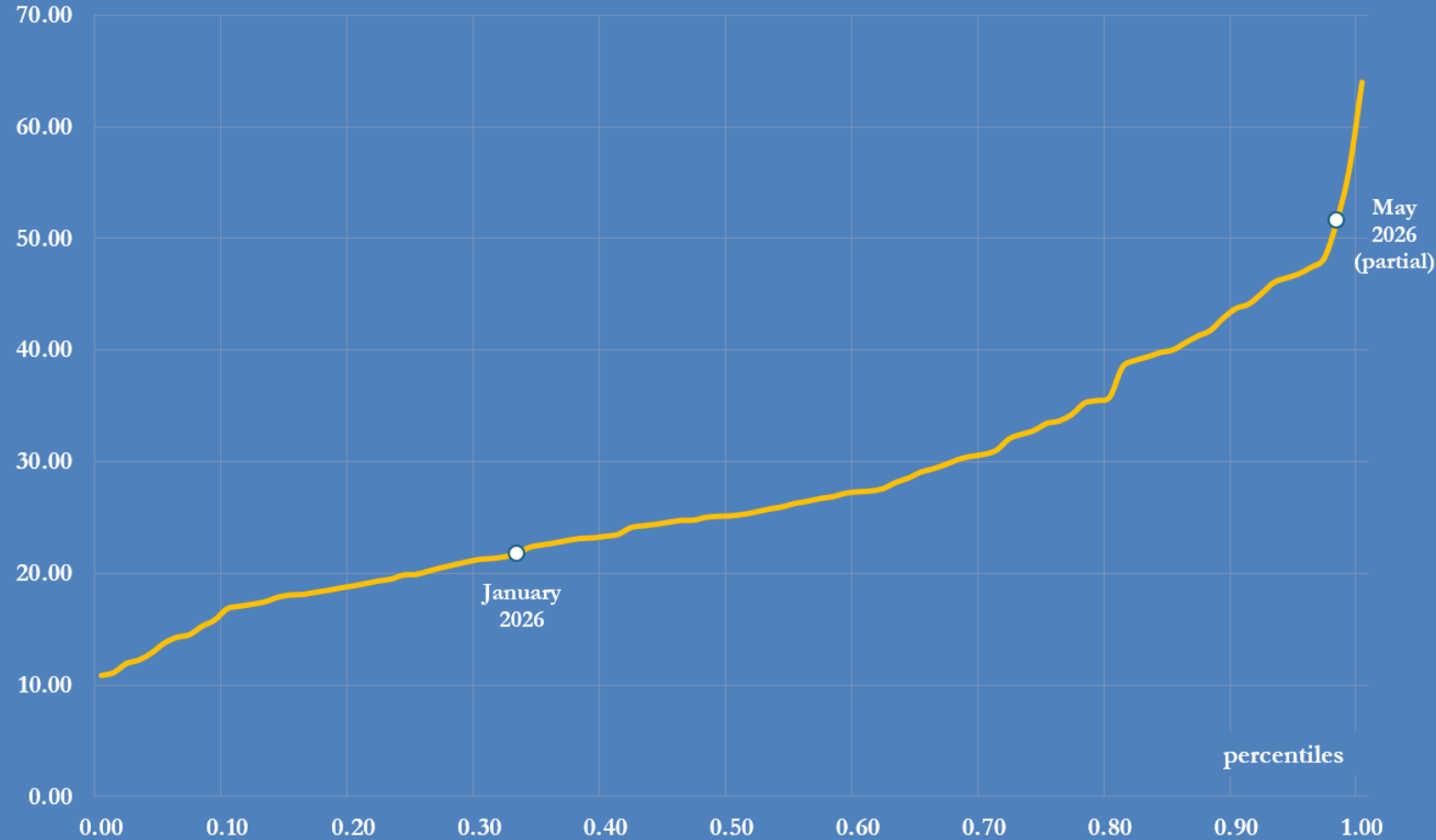
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Refinery margins are near-record high even after allowing for inflation

Gross margins in 98th percentile so far this month up from 33rd percentile in January

Real U.S. gross refining margin, 2010-2026

U.S.\$ (2026) per bbl, 3-2-1 crack spread, percentiles
monthly average, adjusted for inflation using core CPI

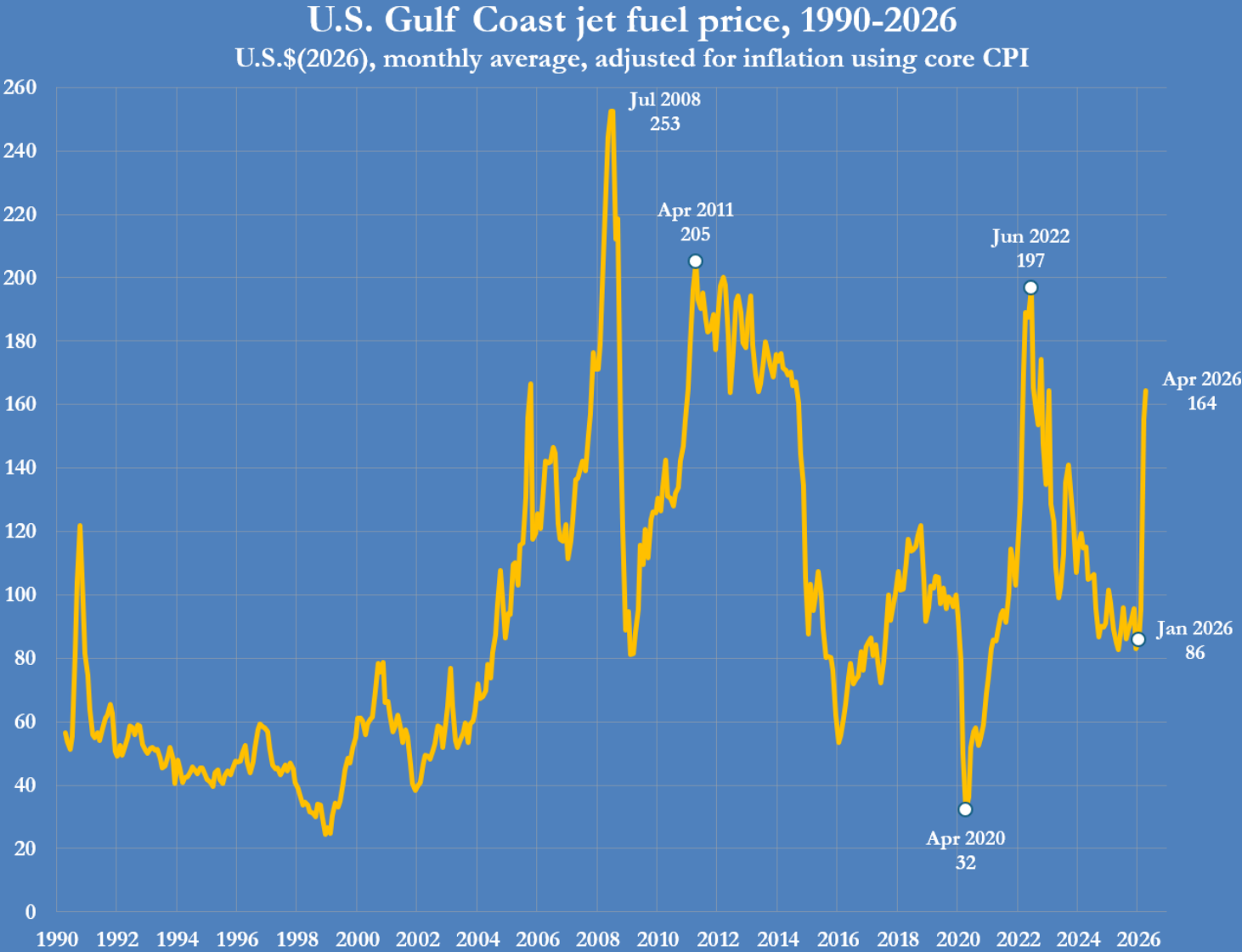


Source: CME Group

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Jet fuel prices have doubled compared with before the war

Loss of medium-density crudes as well as jet exports from the Gulf



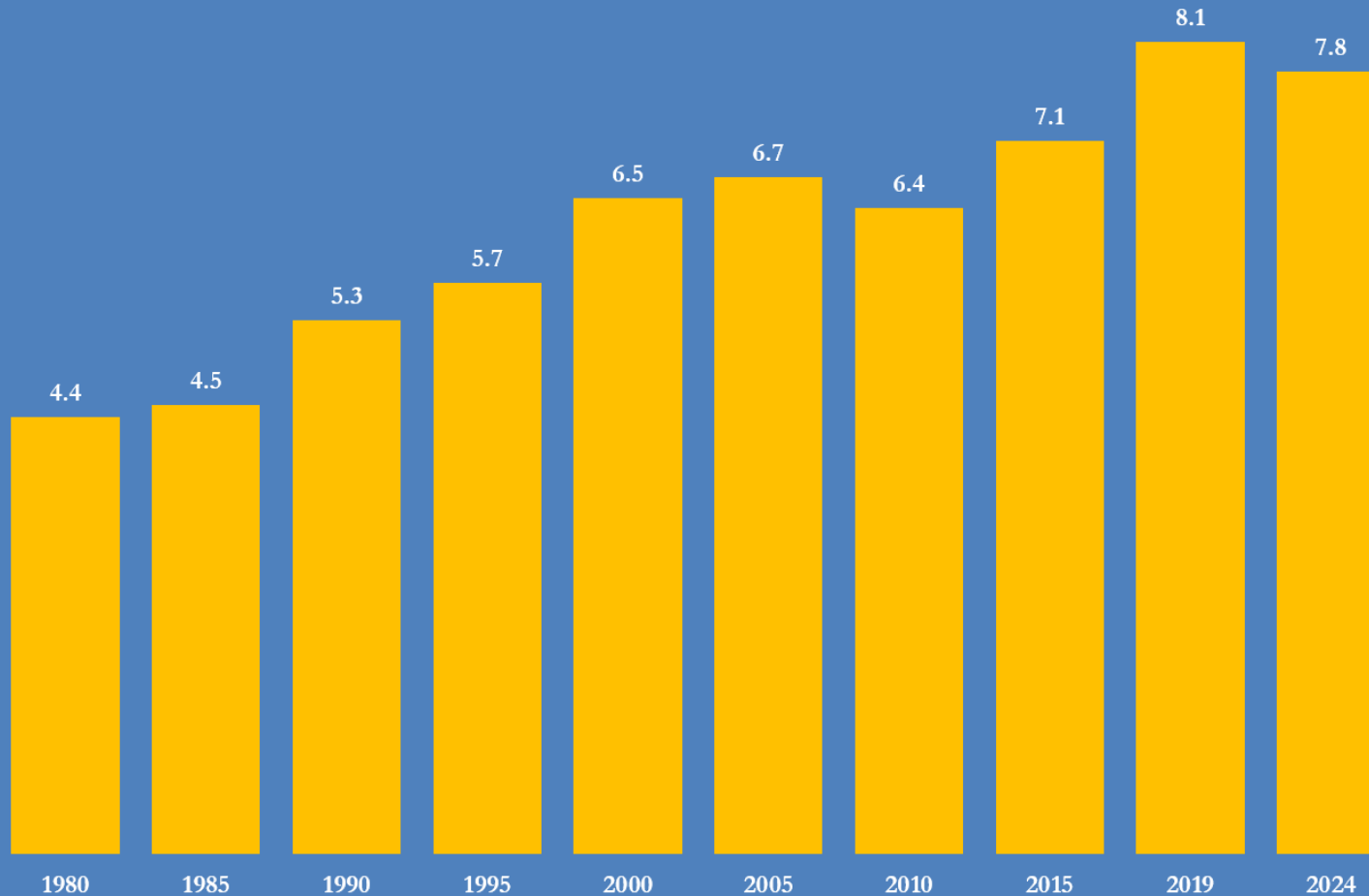
Source: Thomson Reuters via U.S. Energy Information Administration

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Global jet fuel accounts for <8% of worldwide petroleum consumption

Specialised fuel with exacting quality standards

Global jet fuel consumption, 1980-2024
annual, million barrels per day (includes small volume of non-jet kerosene)



Source: Statistical Review of World Energy (Energy Institute, 2025)

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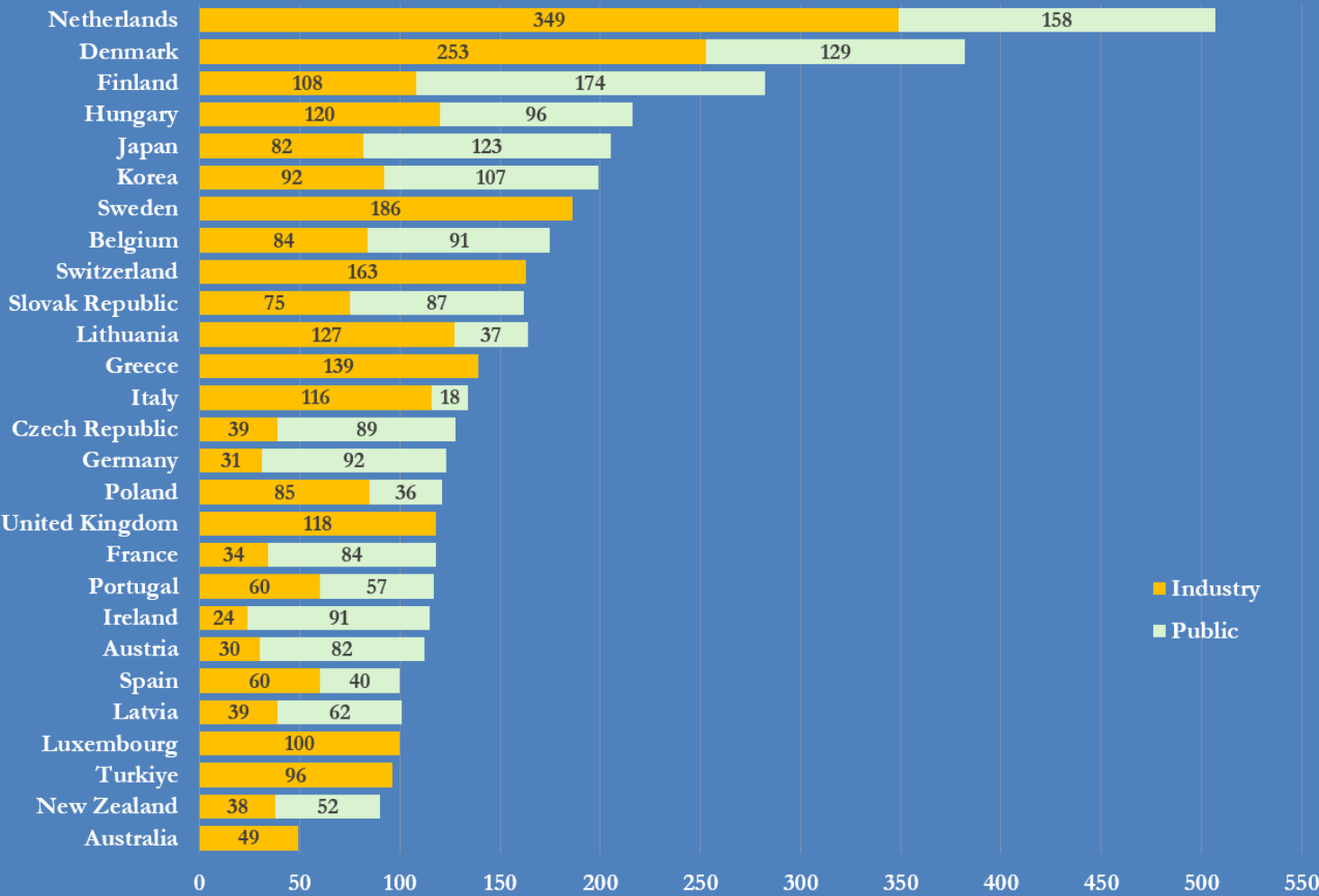
Global supply disruption cushioned by inventories held by IEA members

Before the war, most members held well above the minimum of 90 days net imports

Oil stocks of IEA countries in days of net imports, 2025

net exporters not shown - United States, Canada, Mexico and Norway

also not shown is Estonia with stocks equivaent to more than 11,000 days of net imports



Source: International Energy Agency

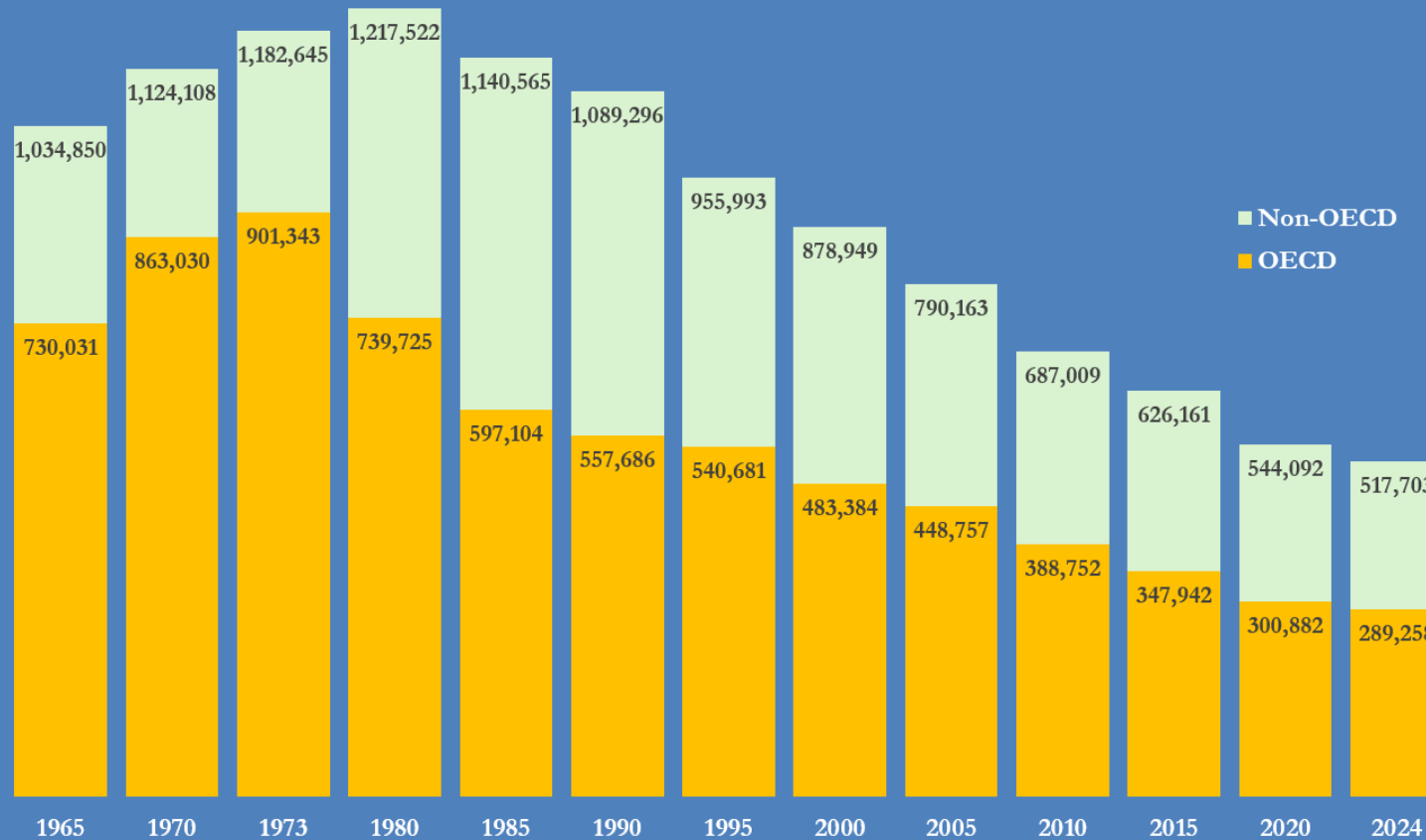
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Global economy has become much less oil intensive

Global GDP has tripled since 1973 while oil consumption has risen by less than double

Global oil intensity of economic output, 1965-2024

barrels of oil consumed per U.S.\$(2015) 1 billion of GDP



Sources: World Development Indicators (World Bank, 2026) and Statistical Review of World Energy (U.K. Energy Institute, 2025)
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Short term policy responses to the oil shock

Policy responses for ensuring adequate fuel supplies and protecting vulnerable users

Fuel conservation appeals

Export restrictions (bans and guidance)

Subsidies for low-income households

Priority allocation to vulnerable users

Anti-monopoly and anti-hoarding laws

Sauve qui peut – every individual and every country for themselves in a fuel crisis

IEA coordinates emergency response for members

But most of Asia's importers are not IEA members

IEA expansion or regional energy coordinator in Asia?

Long-term policy responses to the oil shock

Policy options for increasing energy security and cutting import dependence on Mideast

Diversifying sources of supply

Diversifying transit routes

Boosting domestic production

Increasing energy efficiency

Encouraging fuel substitution

Creating strategic stocks

North America and Europe learned tough lessons from fuel shortages caused by the First and Second World Wars, Iran's oil nationalization (1951) and Suez Canal closure (1956)

Asia is now learning same lessons from closure of the Strait of Hormuz (2026)

The impact of the middle east crisis on energy transition commodities, in Europe and internationally



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Tim Deehan
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Elizabeth Kuhr
Product Dtor, News Content Strategy
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COMMODITIES FORUM LONDON

Coffee break

15 mins

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Metals markets – outlook and market dynamics



Chris Evans
Director, Metals
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Andy Home
Sr Columnist, Metals
Thomson Reuters



Deborah Idowu
Research Specialist, Metals
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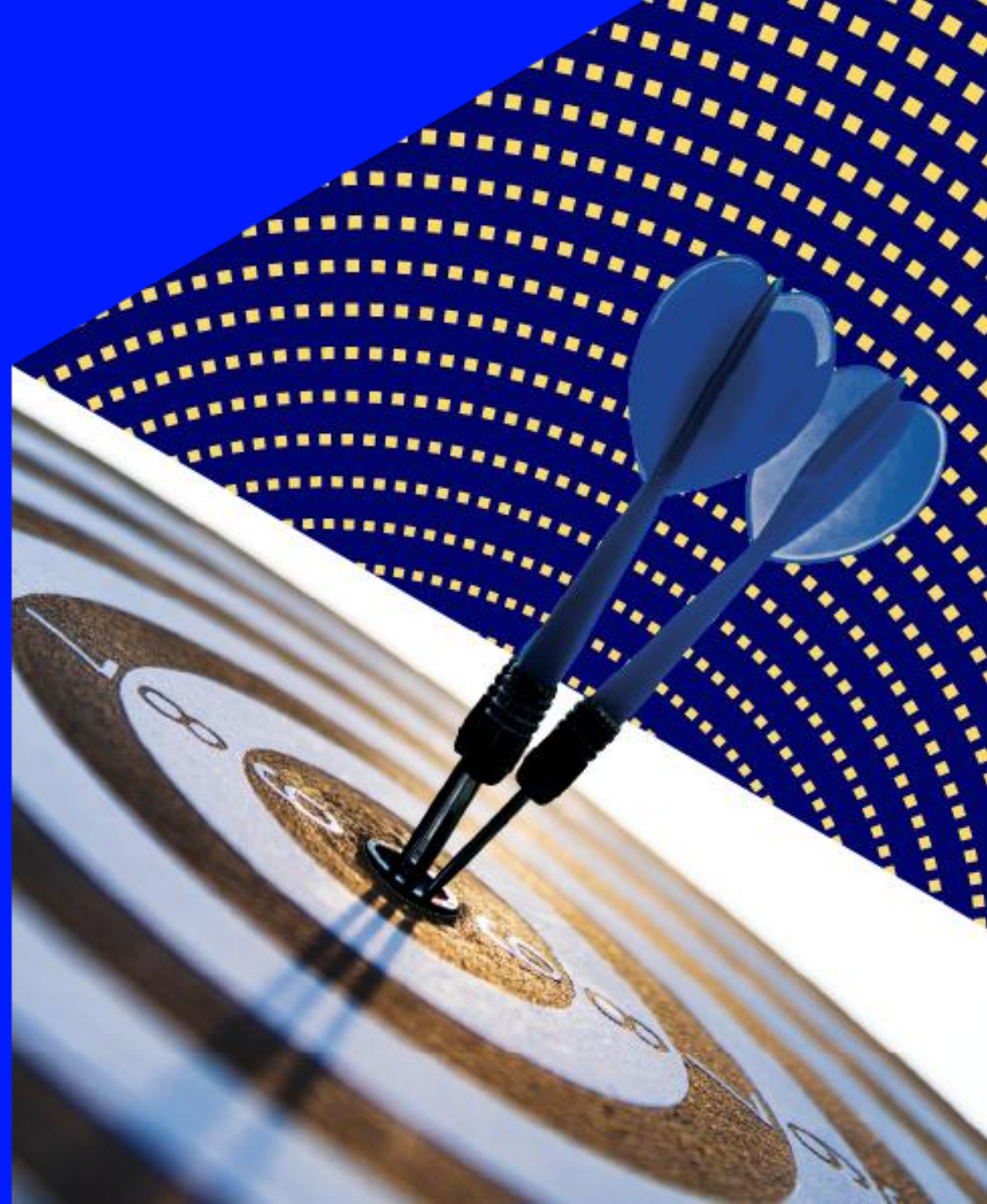


Bruce Alway
Research Director, Metals
LSEG

LSEG Commodities Forum

London, 21 May

Chris Evans
Head of Metals, LSEG



And the winner is?

2026 vs 2025 (Price):

Tin (\$47,000 vs \$34,109)↑

Copper (\$12,250 vs \$9,973)↑

Aluminium (\$3,075 vs \$2,650)↑

Biggest Price Revision Q2 vs Q1

Tin (\$47,000 vs \$39,500)↑

Ali (\$3,075 vs \$2,850)↑

Nickel (\$17,150 vs \$16,000)↑

Biggest S&D Revision Q2 vs Q1

Ali (-1,710,000 vs 45,000)↓

Copper (300,000 vs 45,000)↑

Tin (-37,000 vs -7,000)↓

3M LME **Price** Forecasts

	2025	2026	2027	2028
Copper	\$9,973	\$12,250 ↑	\$13,000 ↑	\$13,500 ↑
Aluminium	\$2,640	\$3,075 ↑	\$2,800 ↓	\$3,150 ↑
Nickel	\$15,362	\$17,150 ↑	\$16,500 ↓	\$15,500 ↓
Zinc	\$2,853	\$3,100 ↑	\$3,000 ↓	\$3,080 ↑
Tin	\$34,109	\$47,000 ↑	\$49,000 ↑	\$52,000 ↑

Market Balance Forecasts, **S&D** (deficit = red)

	2025	2026	2027	2028
Copper	516,000	300,000 ↓	160,000 ↓	50,000 ↓
Aluminium	440,000	1,710,000 ↓	65,000 ↑	695,000 ↓
Nickel	285,000	175,000 ↓	210,000 ↑	250,000 ↑
Zinc	113,000	80,000 ↓	65,000 ↑	75,000 ↓
Tin	33,000	37,000 ↓	37,000	39,000 ↓

Market Headlines

What a difference a year makes

One Year Ago...

- Demand lacklustre
 - Lingering property crisis
 - Sluggish growth in west
 - Energy transition subsidies scrapped by Trump
- Growth in base metals prices from supply-side constraints, not demand

Since then...

- Trump Tariffs
 - Gold, Copper, Aluminium
- Jackson Hole (Aug 22)
 - Fed ready to cut interest rates
 - Dollar debasement trade began
 - Safe-haven trade to hard assets
 - Started in Gold, moved to Base
- Flood of speculative buying
 - Q4 LME
 - December SHFE
 - CME mini contracts growth

12-month price history (#1: Tin; #6 Lead)



Gold, Silver – Prices vs (Decline in) Long Positions, CME

Gold (price = white line; total longs – COTR, CME), blue line)



Silver (price = white line, total longs – COTR, CME), blue line)



Cu and Al: OI declines as price remain elevated

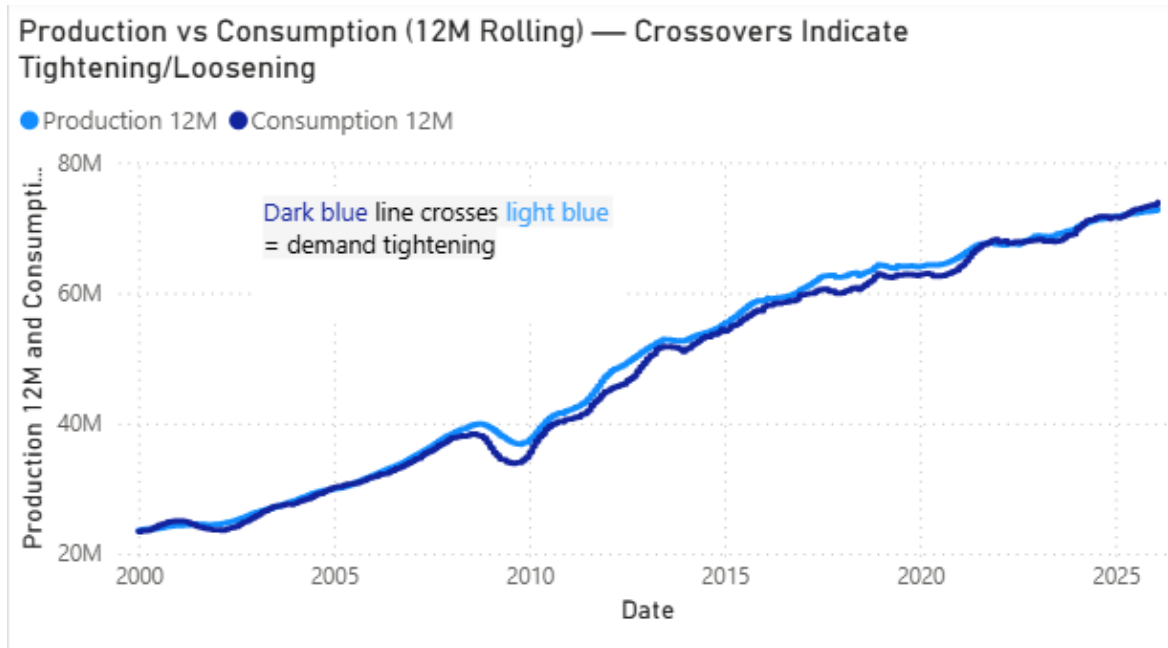


Copper: OI = White Line, Price = Blue

Aluminium: OI = White Line, Price = Blue



Aluminium – WBMS data and momentum indicator

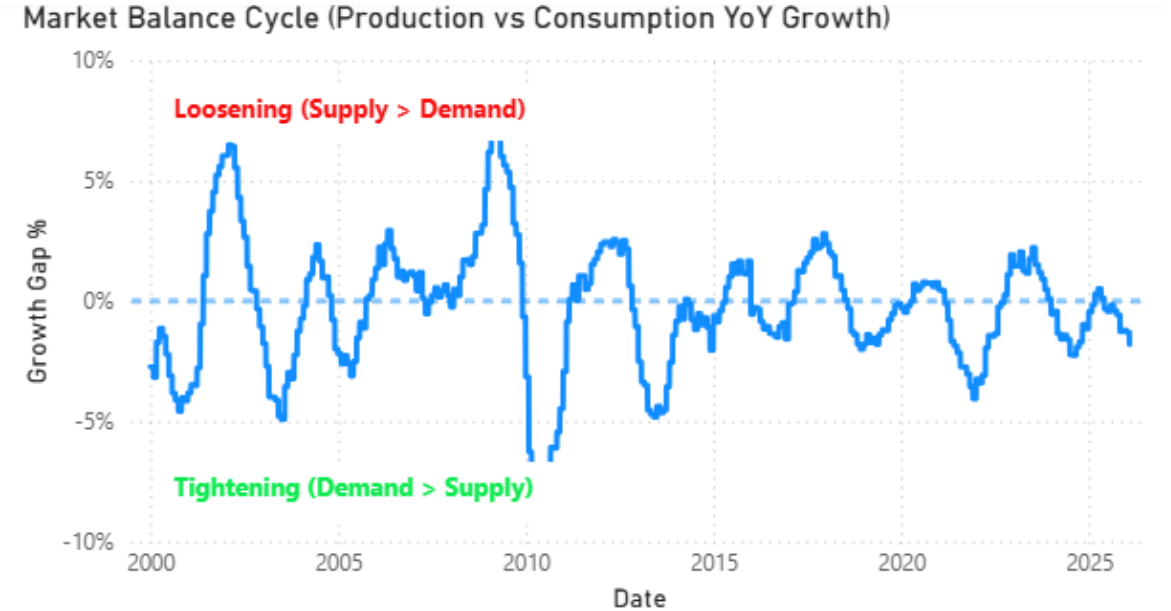


Rolling Market Deficit

Production (light blue) vs Consumption (dark blue)

Dark blue on top = Bullish

Light blue on top = Bearish



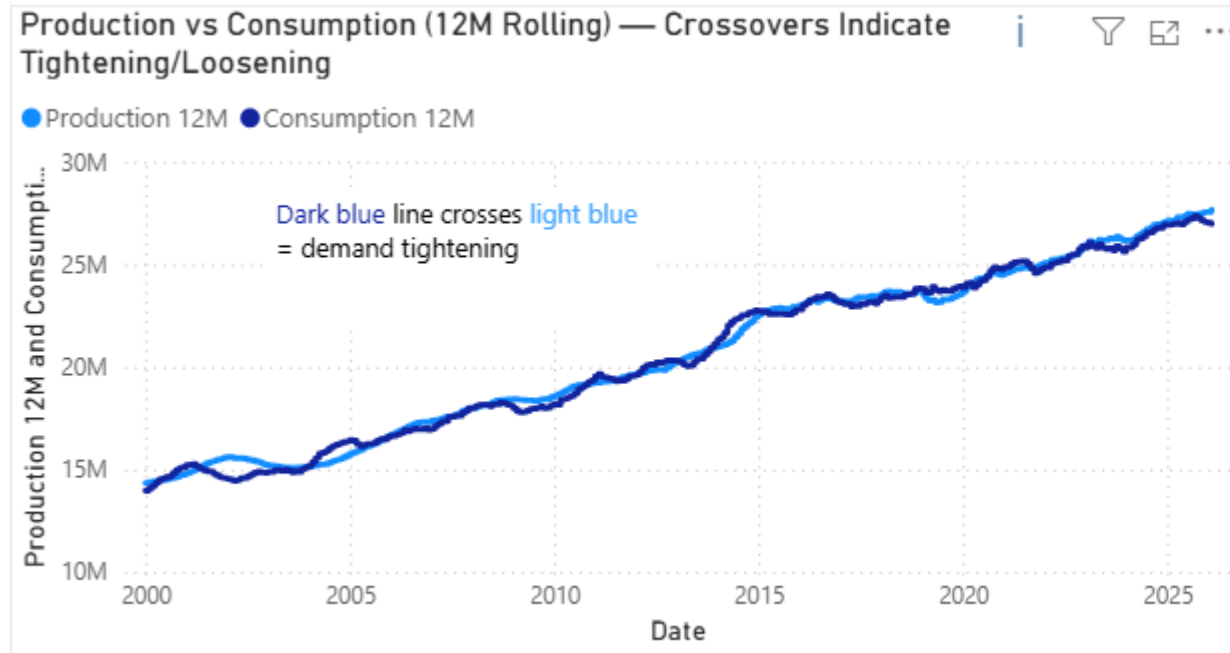
Year-on-Year Indicator

Production growth – consumption growth = momentum indicator

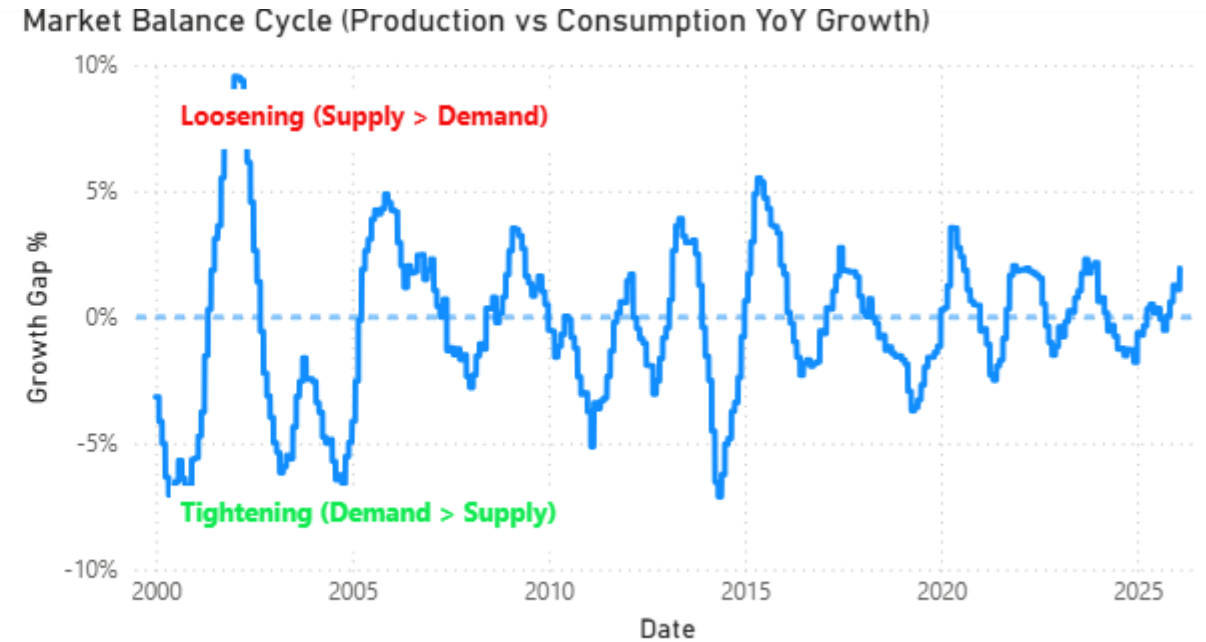
Below 0 = demand growing faster, Bullish

Above 0 = supply growing faster, Bearish

Copper



Higher Production = Bearish



Market Loosening = Bearish

Metals markets – outlook and market dynamics



Chris Evans
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Navigating uncertainty across oil, gas, and shipping markets



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Amy Bowe
Research Director, Oil
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Amrit Singh
Sr Manager, Shipping
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Navigating uncertainty across oil, gas and shipping markets

Shipping Research

Capt. Amrit Singh

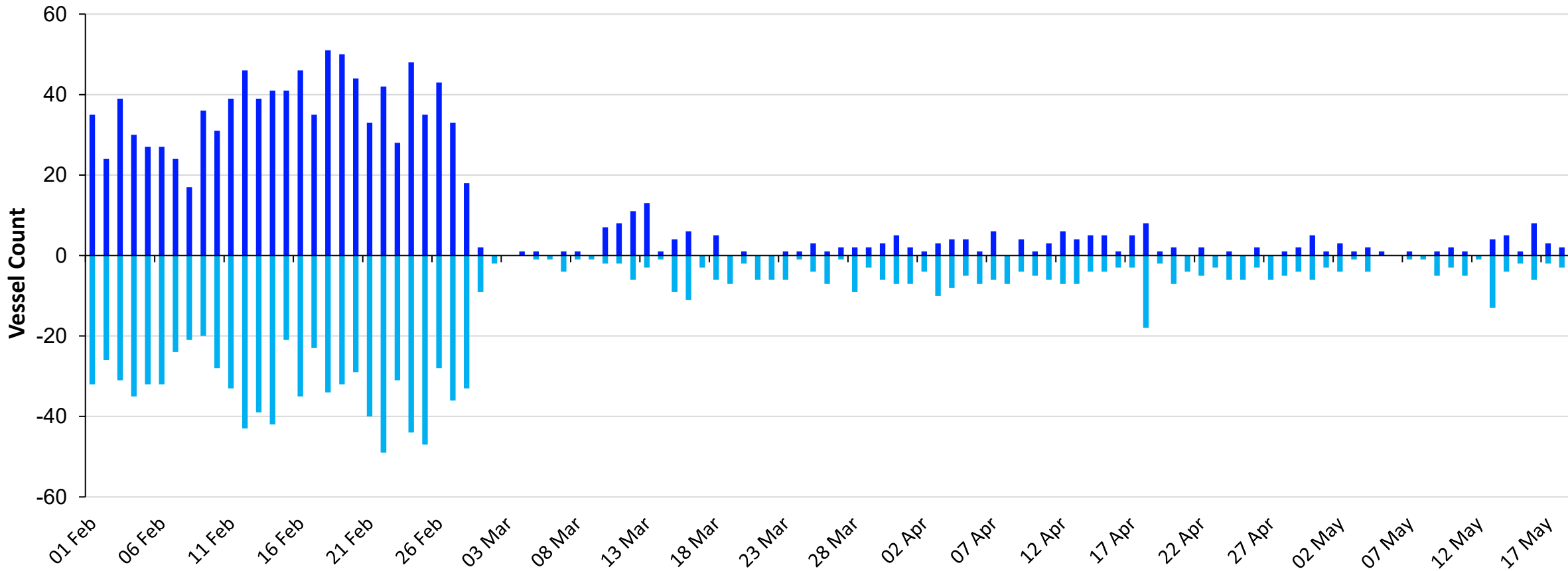
Senior Manager, Shipping Research

LSEG



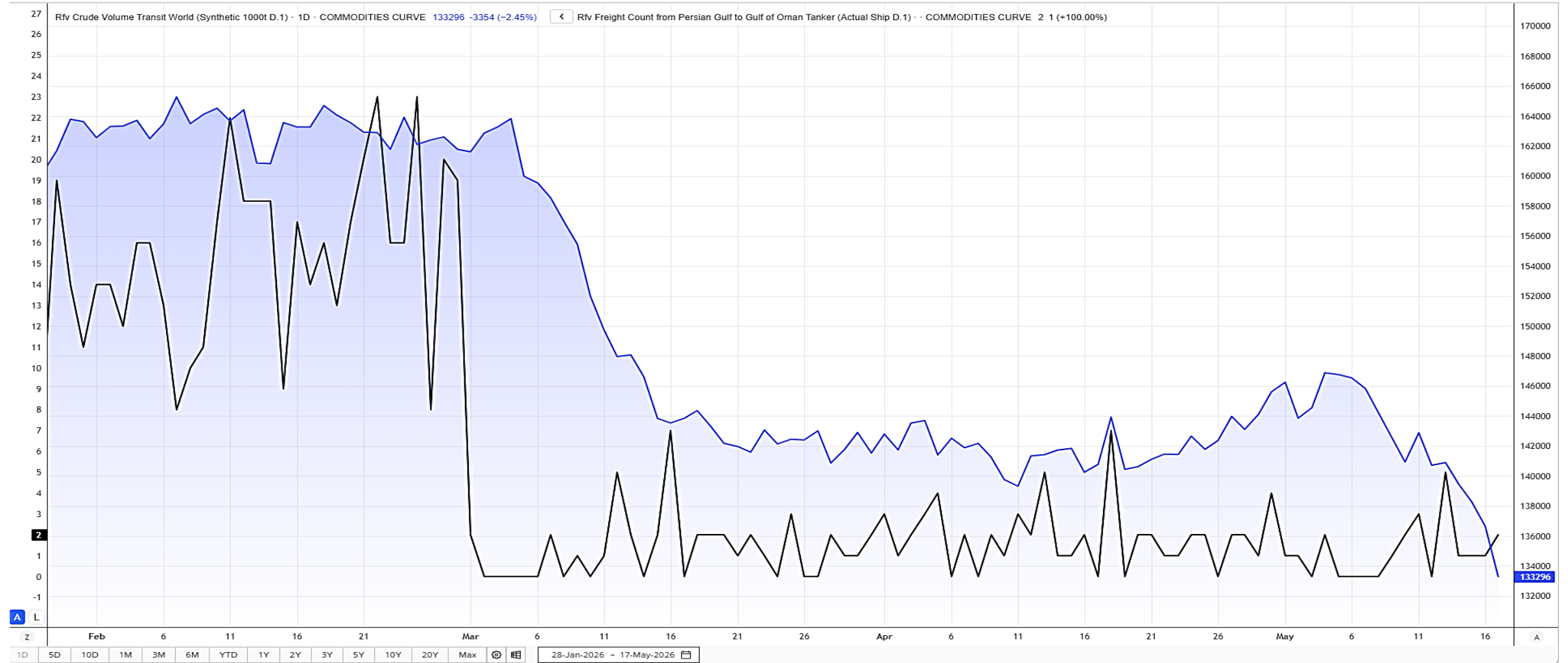
Persian Gulf tensions choke traffic, driving route diversions

Vessel Transiting through Strait of Hormuz (01 February 2026 – 18 May 2026)



Source: LSEG Shipping Research

Bottlenecks and Barrels



Source: LSEG Workspace RICs:79161306791; 79167512353

Navigating uncertainty across oil, gas and shipping markets

Oil Research

Amy Bowe

Director, Oil Research

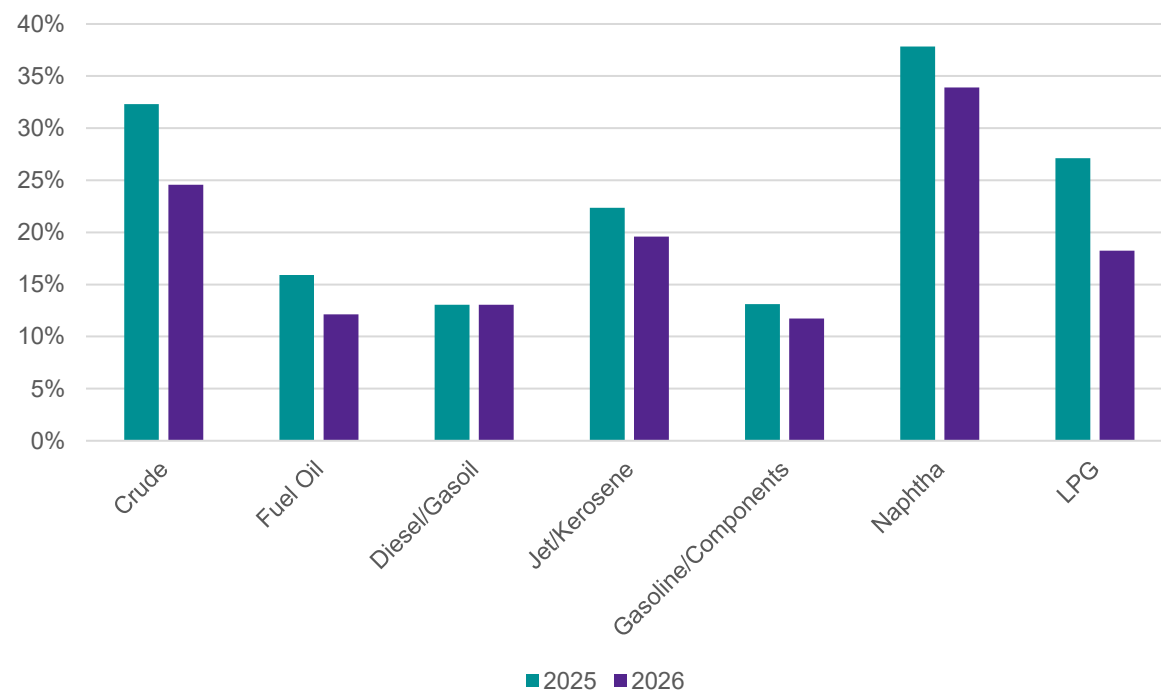
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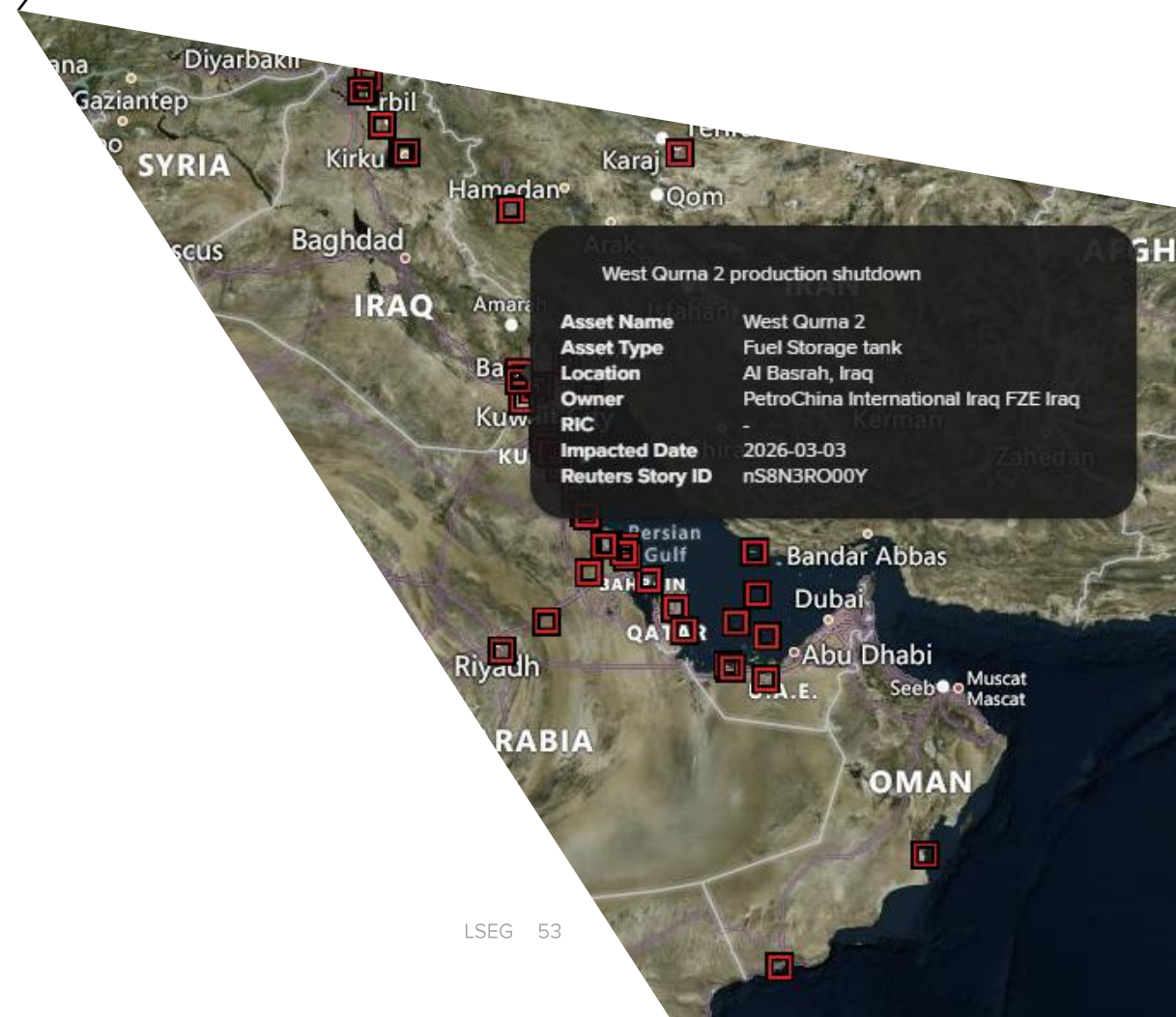
~30% of crude and 20% of refined products transit the Strait of Hormuz

Percentage had fallen slightly in 2026 prior to the conflict to 25% of crude and 15% of clean products

% of supply transiting the Strait of Hormuz



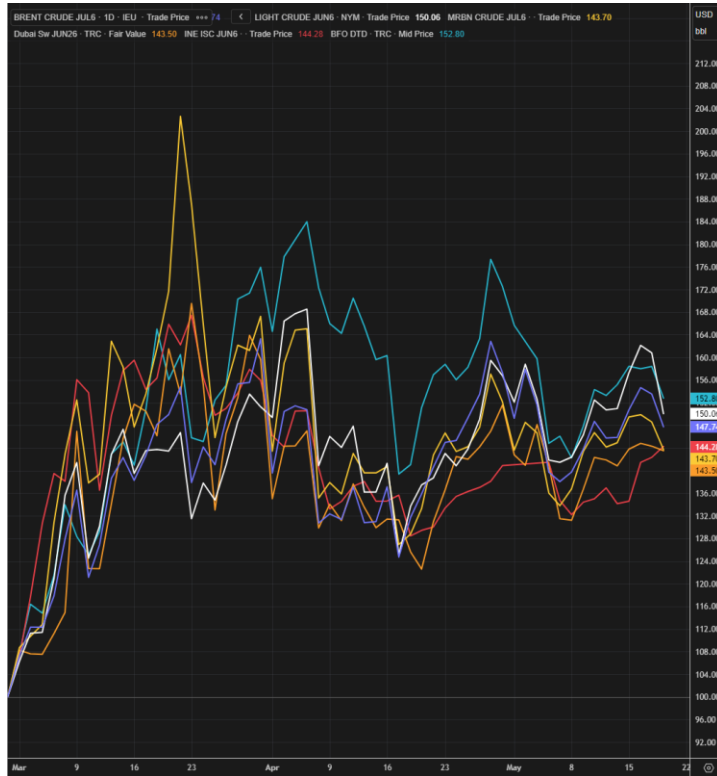
Source: LSEG



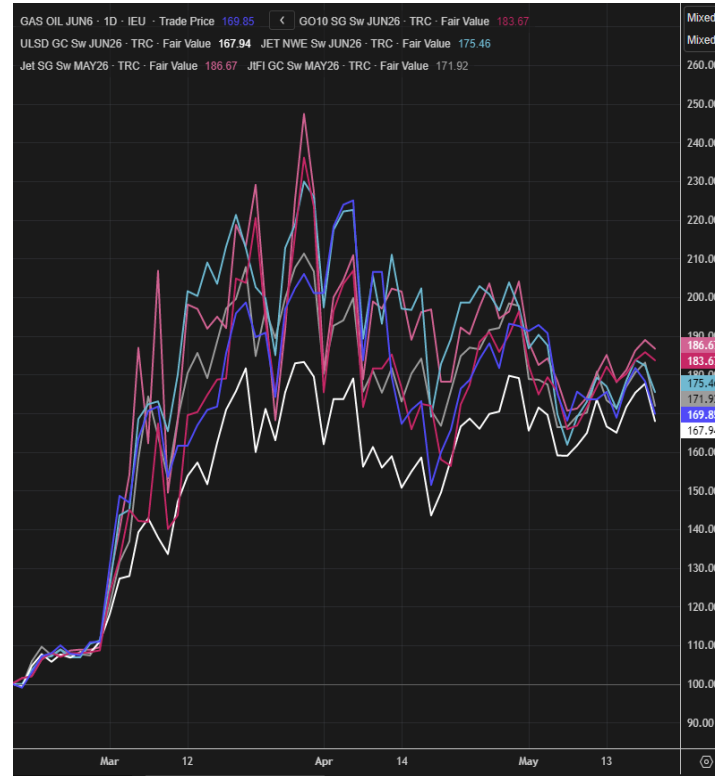
Disruption to Middle East flows has reverberated across the oil markets

Middle East and Asian price benchmarks initially rose more strongly but have since moderated, with increasing pull on Atlantic Basin volumes driving up US prices

Crude benchmarks



Middle Distillate benchmarks



Naphtha/Propane benchmarks

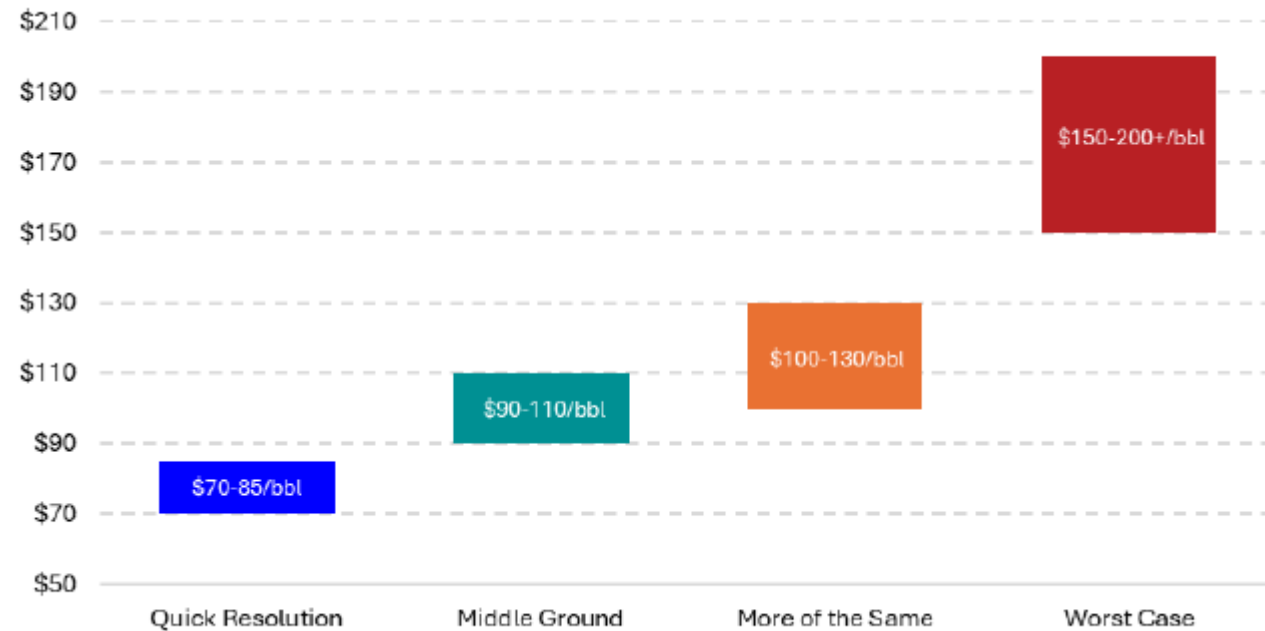


Short-term Brent forecast ranges from \$70 to >\$200/bbl depending on how conflict unfolds

Four scenarios for conflict evolution:

- **Quick resolution:** Ceasefire followed within the next month by a peace deal that allows free passage through the Strait.
- **Middle ground:** War continues for six months, but with some negotiated or escorted traffic allowed and an understanding not to target energy infrastructure directly.
- **More-of-the-same:** Six further months broadly in line with current conditions: selective tanker movement through Hormuz restricted to “friendly” nations, reciprocal targeting of energy infrastructure, and continued periodic attacks across the Gulf.
- **Worst-case:** Extends the conflict through the rest of 2026 and potentially beyond, with complete closure of the Strait except for Iranian vessels, active targeting of energy infrastructure, and the further escalation risks of mining or radiological contamination.

Brent price forecast by scenario



Navigating uncertainty across oil, gas and shipping markets

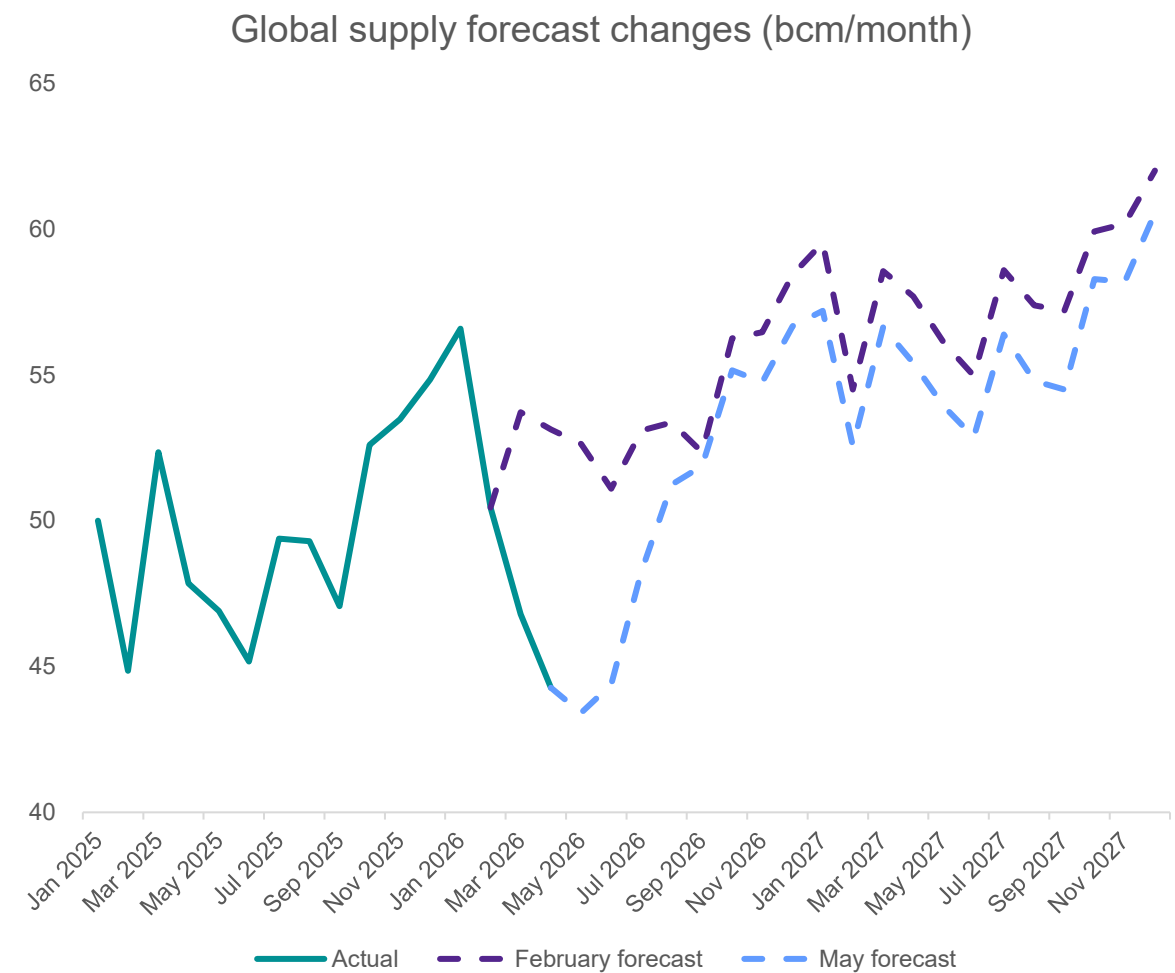
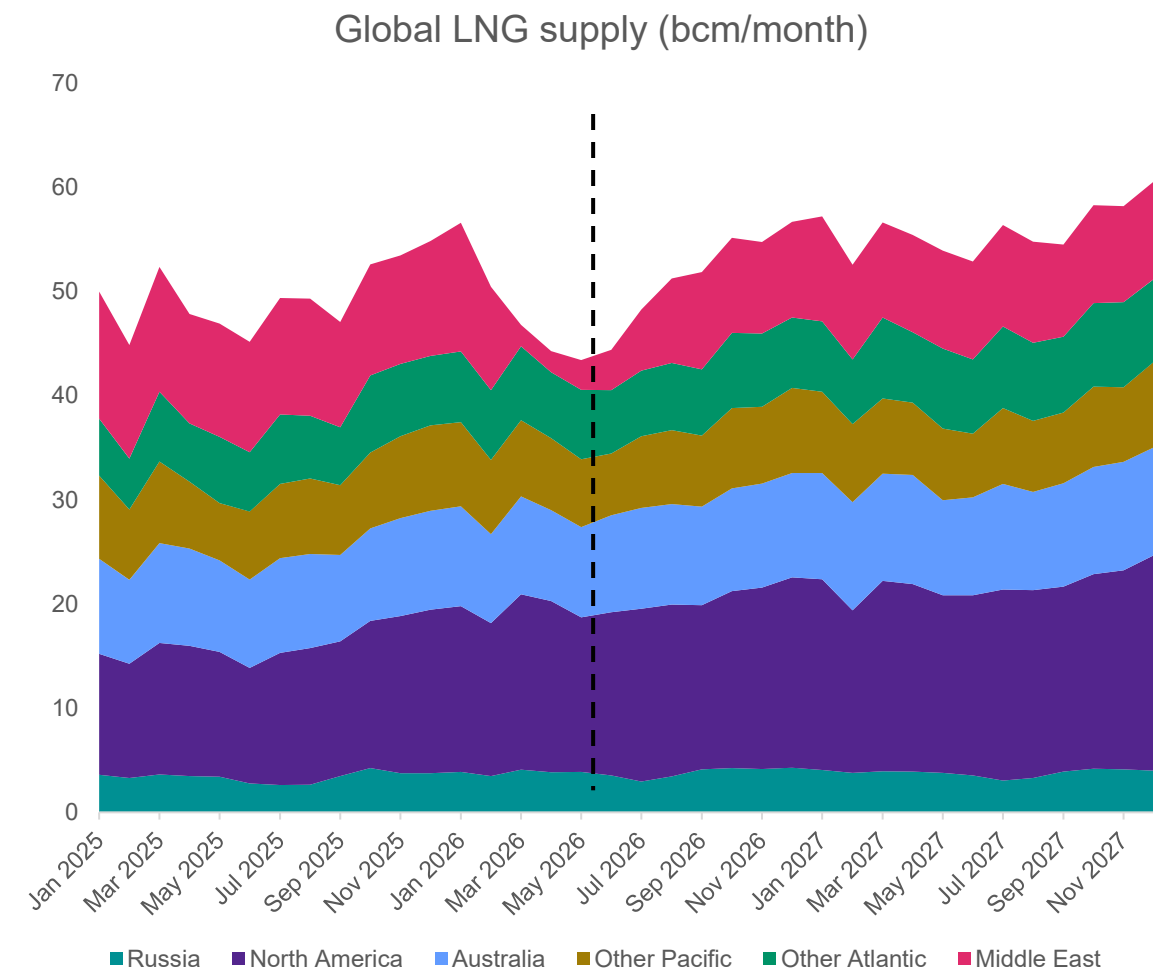
LNG Research

Samuel Good
LNG Research Manager

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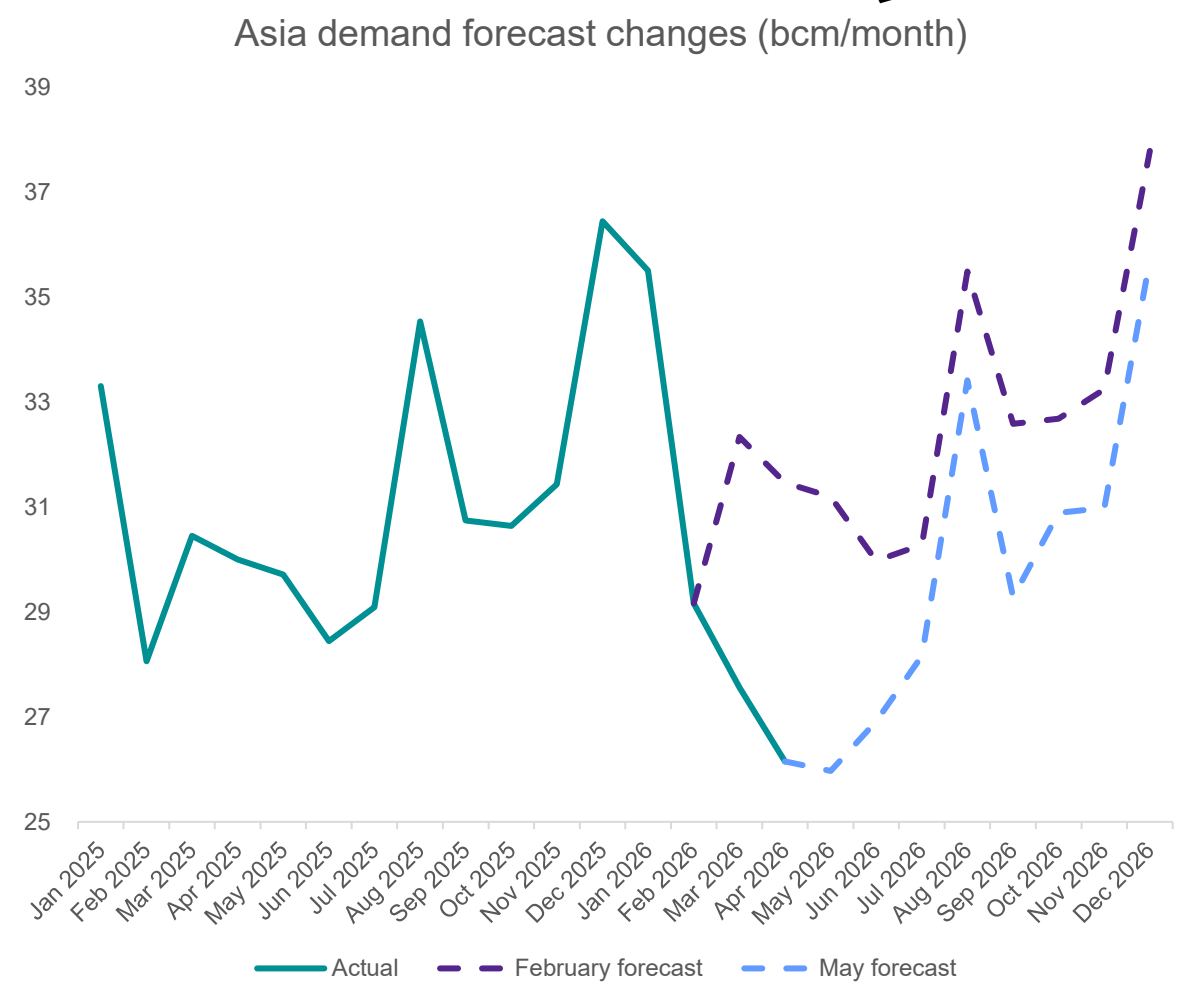
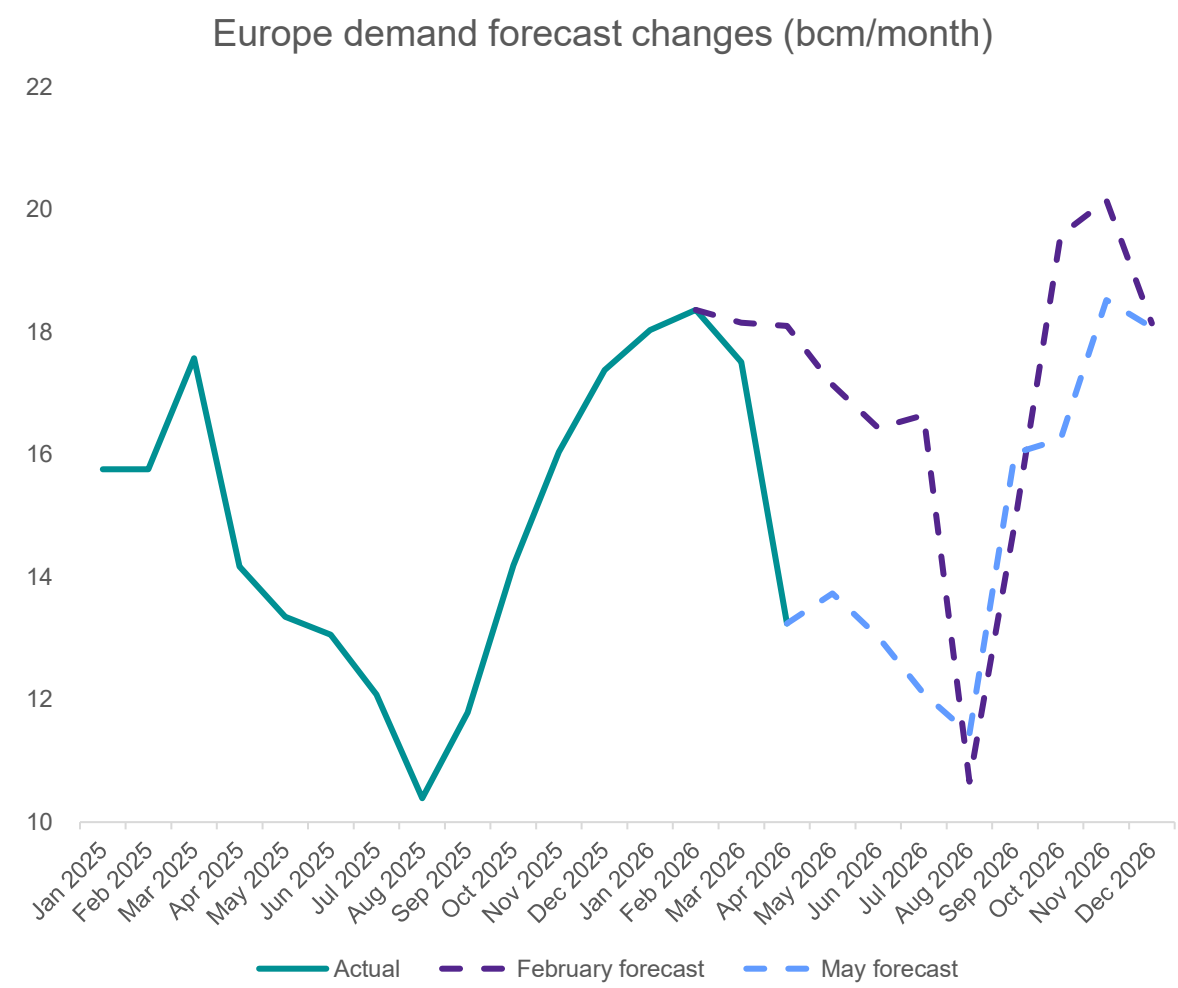


Global LNG supply drops



Asian losses increase global competition for cargoes

CORPORATE



Navigating uncertainty across oil, gas, and shipping markets



John Kemp
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Samuel Good
Research Manager, LNG
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Amy Bowe
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Amrit Singh
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The Shock of '26: Venezuela, Hormuz, and the UAE

Neil Atkinson

LSEG





NATIONAL CENTER
FOR ENERGY ANALYTICS

The Shock of '26

Hormuz, Venezuela, and the UAE

Presentation by Neil Atkinson to the LSEG London Forum, 21 May 2026

Hormuz is the unthinkable global crisis made real.

- Production loss from Saudi Arabia, Iraq, Kuwait, UAE, Qatar c. 13 mb/d
- Demand loss c. 4 mb/d in April.
- Strategic stocks c. 2.3 mb/d
- Net loss c. 7.0 mb/d
- 18 MidEast refineries attacked: c. 2.4 mb/d/5.1 mb/d capacity shut in. 50% of global refining industry exposed to MidEast
- Global stocks drawn by c. 4 mb/d i.e. 400 mb (IEA)
- For 2026, production growth in USA+Can+Ven+Guy+Bra+Arg+Nor = 1.2 mb/d
- Hormuz remains the key: without resumption of operations soon entire industries e.g. transport, agriculture, heavy & light industries will be disrupted. Stocks are not evenly distributed and flows are not even.
- Demand collides with stressed supply. Price rises could be brutal. Demand destroyed. Voila! Global recession.

Venezuela returns as a major producer, eventually.

- US action to remove Maduro was hugely popular in Venezuela.
- The old gang still in power with no indication that the US will force a political transition is causing disillusionment. But talk of 2H27.
- Reliable electricity supply, food and fuel distribution and law and order show only modest improvement.
- But more positive noises from Exxon and others.
- So far, progress to improve the oil industry is limited. Production around 1 mb/d.
- Exports fell initially after Maduro's fall and now climbing but not above levels seen in late 2025.
- Most optimistic outlook is for production c. 2 mb/d late 2027.
- Context: pre-Chavez oil production was ~3.5 mb/d with plans to raise capacity to ~5.6 mb/d by 2006.
- Will Venezuela leave OPEC? Will it have a choice?

UAE leaves OPEC – when a surprise is not a surprise.

- UAE's departure was hiding in plain sight.
- UAE has been unhappy with OPEC for many years.
- UAE has been investing heavily for several years.
- Friction within OPEC was building.
- PDVSA's 1990s expansion was a template for Adnoc?
- The short-term consequences of UAE's departure are limited.
- The longer-term consequences are important. Market share battle!
- OPEC wounded by UAE departure but will step up efforts to bolster OPEC+ alliance.





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